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ECO401

Solved all past papers

*ECO401- Economics
Final Examination*

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Final Term

ECO401- Economics

<u><i>Paper No.</i></u>	<u><i>Year</i></u>	<u><i>Session</i></u>
<i>Paper # 01</i>	<i>2012</i>	<i>(unknown)</i>
<i>Paper # 02</i>	<i>2011</i>	<i>(unknown)</i>
<i>Paper # 03</i>	<i>2010</i>	<i>(session_01)</i>
<i>Paper # 04</i>	<i>2010</i>	<i>(session_02)</i>
<i>Paper # 05</i>	<i>2010</i>	<i>(session_04)</i>
<i>Paper # 06</i>	<i>2010</i>	<i>(session_05)</i>
<i>Paper # 07</i>	<i>2009</i>	<i>(unknown)</i>
<i>Paper # 08</i>	<i>2009</i>	<i>(session_02)</i>
<i>Paper # 09</i>	<i>2009</i>	<i>(session_03)</i>
<i>Paper # 10</i>	<i>2009</i>	<i>(session_04)</i>
<i>Paper # 11</i>	<i>2009</i>	<i>(session_05)</i>
<i>Paper # 12</i>	<i>2009</i>	<i>(session_06)</i>
<i>Paper # 13</i>	<i>2008</i>	<i>(session_03)</i>

Paper 1

FINALTERM EXAM papers

ECO401- Economics

2012

Question No: 1 (Marks: 1)

In pure capitalism, the role of government is best described as:

- ▶ Significant.
- ▶ Extensive.
- ▶ Nonexistent.
- **Limited**

Question No: 2 (Marks: 1)

If both supply and demand increase simultaneously, the equilibrium:

- **Price must rise and the equilibrium quantity must fall.**
- ▶ Price must rise and the equilibrium quantity may either rise or fall.
- ▶ Quantity must rise and the equilibrium price may either rise or fall.
- ▶ Price must fall and the equilibrium quantity may either rise or fall.

Question No: 3 (Marks: 1)

If the quantity supplied of oranges exceeds the quantity demanded then:

- ▶ There is a shortage of oranges.
- **Market forces will cause the price to fall.**
- ▶ Market forces will cause the price to rise.
- ▶ The market is in equilibrium.

Question No: 4 (Marks: 1)

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- **It would shift inward.**
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ It would shift outward.

Question No: 5 (Marks: 1)

Graphically, marginal revenue is defined as:

- **The slope of a line from the origin to a point on the total revenue curve.**
- ▶ The slope of a line from the origin to the end of the total revenue curve.
- ▶ The slope of the total revenue curve at a given point.
- ▶ The vertical intercept of a line tangent to the total revenue curve at a given point.

Question No: 6 (Marks: 1)

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.
- **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ None of the given options.

Question No: 7 (Marks: 1)

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- **The demand curve is tangent to marginal cost curve.**
- ▶ The demand curve is tangent to average cost curve.

- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 8 (Marks: 1)

A firm in monopolistic competition does not achieve minimum efficient scale because:

- ▶ It is not a monopoly.
- ▶ It is in competition with other firms.
- **It is operating on the downward-sloping part of the average cost curve.**
- ▶ It produces at the minimum average cost.

Question No: 9 (Marks: 1)

If the income elasticity of demand is $1/2$, the good is:

- ▶ A luxury.
- **A formal good**
- ▶ An inferior good.
- ▶ A Giffen good.

Question No: 10 (Marks: 1)

In the complete classical model, a rightward shift of the labor supply curve will:

- ▶ Decrease the price level and increase the nominal wage.
- ▶ Decrease the nominal wage and increase the price level.
- ▶ Decrease both the price level and the nominal wage.
- **Increase both the price level and the nominal wage.**

Question No: 11 (Marks: 1)

The aggregate demand will decrease if:

- ▶ Investment spending decreases.
- ▶ Government spending increases.
- ▶ Consumption spending increases.
- Imports decreases.

Question No: 12 (Marks: 1)

Which of the following is NOT a stock variable?

- ▶ Government debt.
- capital
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 13 (Marks: 1)

Real Gross Domestic Product (GDP):

- is nominal GDP adjusted for changes in the price level.
- ▶ Is also called nominal GDP.
- ▶ Measures GDP minus depreciation of capital.
- ▶ Will always change when prices change.

Question No: 14 (Marks: 1)

Which of the following is the narrowest and most traditional definition of money?

- M1
- ▶ M2.
- ▶ M3.

► M4.

Question No: 15 (Marks: 1)

Gross National Product (GNP) is:

- **NET National Product(NNP) plus depreciation.**
- National income discounted by the GDP deflator.
- Income from foreign investments.
- Gross Domestic Product (GDP) minus depreciation.

Question No: 16 (Marks: 1)

All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- The exchange-rate effect.
- The wealth effect.
- **The classical dichotomy/ monetary neutrally effects.**
- The interest-rate effect.

Question No: 17 (Marks: 1)

Those who hold the classical view of the labour market are likely to believe that:

- Monetary but not fiscal policy will have an effect on output and employment.
- Fiscal but not monetary policy will have an effect on output and employment.
- Both monetary and fiscal policy will have an effect on output and employment.
- **Neither monetary nor fiscal policy will have an effect on output and employment.**

Question No: 18 (Marks: 1)

National income is equal to which of the following?

- ▶ Income of the Government.
- ▶ Budget of the Government.
- **Sum total of factor incomes.**
- ▶ Profits of the public undertakings.

Question No: 19 (Marks: 1)

Which of the following is NOT included in National income?

- ▶ Profits and rents.
- ▶ Wages and salaries.
- ▶ Interest on capital.
- **Transfer incomes.**

Question No: 20 (Marks: 1)

Which of the following is a transfer payment?

- ▶ Payment made to housewife.
- ▶ Pocket allowance to children.
- ▶ Maintenance allowance to old parents.
- **All of the given options.**

Question No: 21 (Marks: 1)

The demand curve for labour can be derived from the intersection of:

- **Horizontal wage rate lines and the marginal revenue product of labour.**
- ▶ Vertical wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of capital.
- ▶ Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 22 (Marks: 1)

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

- **Aggregate demand curve.**
- ▶ Average price level.
- ▶ Circular flow model.
- ▶ GDP curve.

Question No: 23 (Marks: 1)

All other things being equal, an increase in government spending will:

- **Shift the aggregate demand curve to the left.**
- ▶ Shift the aggregate demand curve to the left.
- ▶ Make the aggregate demand curve flatter.
- ▶ Make the aggregate demand curve steeper.

Question No: 24 (Marks: 1)

Suppose investment rises by \$50 billion at each price level. If the value of the multiplier is 1.5, what is the amount of change in real GDP demanded at each price level?

- ▶ \$50 billion.
- **\$75 billion.**
- ▶ \$125 billion.
- ▶ \$150 billion.

Question No: 25 (Marks: 1)

Which of the following is TRUE?

- ▶ Accelerator coefficient = Marginal capital / output ratio.

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- ▶ Accelerator coefficient > Marginal capital / output ratio.
- ▶ Accelerator coefficient < Marginal capital / output ratio.
- **None of the given options.**

Question No: 26 (Marks: 1)

Which of the following will influence a country's exports?

- **All of the given options.**
- ▶ Consumer tastes for domestic and foreign goods.
- ▶ Prices of goods at home and abroad.
- ▶ Costs of transporting goods from country to country.

Question No: 27 (Marks: 1)

Free trade is favoured because:

- ▶ Countries have less work to do.
- ▶ It leads to greater world efficiency i.e. resources are better utilized.
- ▶ Wealthier countries gain an advantage over underdeveloped countries.
- **All countries gain from traffic imposition.**

Question No: 28 (Marks: 1)

The interest rate parity is the basic identity that relates which of the following?

- **Interest rates and exchange rates.**
- ▶ Interest rates and inflation rate.
- ▶ Exchange rates and inflation rate.
- ▶ Discount rate and inflation rate.

Question No: 29 (Marks: 1)

A change from \$1.00 = Rs. 82.00 to \$1.00 = Rs. 80.00 represents:

- ▶ An appreciation of the dollar.
- **An appreciation of the rupee.**
- ▶ Depreciation of the rupee.
- ▶ None of the given options.

Question No: 30 (Marks: 1)

There is an increase in the economy's potential output when there is:

- ▶ An increase in government spending.
- ▶ A decrease in government spending.
- **An increase in the economy's capital stock.**
- ▶ An increase in the economy's depreciation rate.

Question No: 31 (Marks: 1)

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

- ▶ Output per worker will grow more rapidly than before.
- ▶ The level of output per worker will be higher than before.
- ▶ The amount of capital per worker will be the same as before.
- **All of the given option.**

Question No: 32 (Marks: 1)

A tax in which people pay the same percentage of income in taxes regardless of their incomes is called:

- ▶ Value-added tax.
- ▶ Regressive tax.
- **Proportional tax.**
- ▶ Progressive tax.

Question No: 33 (Marks: 1)

Which of the following got benefit from inflation?

I. Salary earners.

II. Equity holders.

III.-----Pensioners.

IV. -----Debtors.

➤ **1 only**

▶ II only.

▶ I and III.

▶ II and IV.

Question No: 34 (Marks: 1)

Nominal money supply in Pakistan is directly or indirectly controlled by:

▶ National Bank.

▶ Habib Bank.

➤ **State bank.**

▶ Bank Alfalah.

Question No: 35 (Marks: 1)

If money supply is fixed by the central bank then in interest rate-money supply space, money supply curve will be:

▶ Horizontal.

➤ **Vertical.**

▶ Negatively sloped.

▶ Positively sloped.

Question No: 36 (Marks: 1)

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

- 10.
- ▶ 13.
- ▶ 20.
- ▶ 33.

Question No: 37 (Marks: 1)

Suppose there are two goods A and B. What will happen to the budget line if prices of both goods increase by the same percentage?

- ▶ It will shift parallel to the left.
- It will shift parallel to the right.
- ▶ It will pivot about the x axis.
- ▶ It will pivot about the y axis.

Question No: 38 (Marks: 1)

In which of the following conditions, a welfare loss occurs in monopoly?

- ▶ Where the price is greater than the marginal cost.
- ▶ Where the price is greater than the marginal benefit.
- ▶ Where the price is greater than the average revenue.
- Where the price is greater than the marginal revenue.

Question No: 39 (Marks: 1)

If average physical product (APP) is decreasing then which of the following must be true?

- ▶ Marginal physical product is more than the average physical product.
- Marginal physical prproduct is less than the average physical product.

- ▶ Marginal physical product is decreasing.
- ▶ Marginal physical product is increasing.

Question No: 40 (Marks: 1)

Average total costs are the sum of:

- ▶ Fixed costs and marginal costs
- ▶ Average variable costs and marginal costs
- **Average fixed costs and average variable costs.**
- ▶ Average marginal costs and average variable costs

Question No: 41 (Marks: 1)

Economy always remains at full employment level was the idea of

- **Classical economists.**
- ▶ Monetarist.
- ▶ New Classical Economists.
- ▶ Keynes.

Question No: 42 (Marks: 1)

Suppose the consumption function is $C = \$10 + 0.75Y$. If $Y = 50$ \$, then the amount of consumption is:

- ▶ 37.50
- ▶ 85.00
- **47.50**
- ▶ 10.75

Question No: 43 (Marks: 1)

If market exchange rate is adjusted for prices then it will be called:

- ▶ Hypothetical interest rate.
- ▶ Nominal interest rate.
- **Real interest rate.**
- ▶ None of the given options.

Question No: 44 (Marks: 1)

There will be decrease in potential output of a country when there is:

- ▶ A decrease in government spending.
- ▶ An increase in government spending.
- ▶ A decrease in the economy's depreciation rate.
- **A decrease in the economy's capital stocks.**

Question No: 45 (Marks: 1)

If the required reserve ratio is 10% then what will be the value of money multiplier?

- **10**
- ▶ 2
- ▶ 5
- ▶ 20

Question No: 46 (Marks: 1)

Which of the following will happen if suddenly people wish to hold less money at same interest rate?

- ▶ The LM curve will shift downward (to the right).
- **The money demand curve will be shift to the right.**
- ▶ The IS curve will shift to right.
- ▶ None of the given options.

Question No: 47 (Marks: 1)

The share of world trade happens between high income countries is:

- ▶ 55%
- ▶ 40%
- ▶ **50%**
- ▶ 60%

Question No: 48 (Marks: 1)

The common characteristics of a developing country is:

- ▶ High growth rate.
- ▶ High literacy rate.
- ▶ Skilled labor.
- ▶ **High unemployment rate.**

Question No: 49 (Marks: 3)

Mention the components of current account in the balance of payment.

1. **Goods**
2. **Services**
3. **Income & Transfer payments**

Question No: 50 (Marks: 3)

If MPC = 0.84 and tax rate = 0.27 then find out the value of multiplier.

If MPC = 0.84 and tax rate = 0.27 then find out the value of multiplier.

$$K = 1 / 1 - MPC (1 - t)$$

$$K = 1 / 1 - 0.84 (1 - 0.27)$$

2.5853

Question No: 51 (Marks: 5)

Mention the situations in which imposing a tax is better than not imposing it.

Question No: 52 (Marks: 5)

What is meant by Philips Curve? Explain the shape of this curve with the help of diagram.

Question No: 53 (Marks: 5)

If the value of multiplier is 1.20 then calculate the value of marginal propensity to consume (MPC).

$$K = 1 / 1 - MPC$$

$$1.20 = 1 / 1 - MPC$$

$$(1 - MPC) 1.20 = 1$$

$$1 - MPC = 1 / 1.20$$

$$- \quad MPC = 0.8333 - 1$$

$$MPC = 0.1667$$

2nd paper

Eco401 final term

Question No: 1 (Marks: 1) – Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 2 (Marks: 1) – Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Question No: 3 (Marks: 1) – Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- ▶ **All of the given options.**

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Question No: 4 (Marks: 1) – Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ **Indifference curves slope downwards.**
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 5 (Marks: 1) – Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

- ▶ The consumer's indifference curve must be positively sloped.
- ▶ The consumer's indifference curve must be convex with respect to the origin of the graph.
- ▶ **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.**
- ▶ All of the given options.

Question No: 6 (Marks: 1) – Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

- ▶ Flatter.
- ▶ **Steeper.**
- ▶ Identical.
- ▶ None of the given options.

Question No: 7 (Marks: 1) – Please choose one

In economics, the “long run” is a time period in which:

- ▶ **All inputs are variable.**
- ▶ All inputs are paid for.
- ▶ All outputs are determined.
- ▶ All loans are repaid.

Question No: 8 (Marks: 1) – Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ **None of the given options.**

Question No: 9 (Marks: 1) – Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 10 (Marks: 1) – Please choose one

In the short run, a firm should shut down when:

- ▶ Production losses are less than fixed costs.
- ▶ Only normal profits are earned.
- ▶ **Production losses exceed fixed costs.**
- ▶ Fixed costs are zero.

Question No: 11 (Marks: 1) – Please choose one

Loud music from a neighbor’s party is:

- ▶ **A negative externality whether or not you like it.**
- ▶ A positive externality whether or not you like it.
- ▶ A positive externality if you like the music and a negative externality if you don’t.

- ▶ A negative externality if you like the music and a positive externality if you don't.

Question No: 12 (Marks: 1) – Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 13 (Marks: 1) – Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ **Unemployment benefits reduce the cost of job search.**
- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 14 (Marks: 1) – Please choose one

Naima has just finished her school job and is waiting to report to new job at the beginning of the month. Naima is considered to be:

- ▶ Cyclically unemployed.
- ▶ Employed.
- ▶ **Structurally unemployed.**
- ▶ Frictionally unemployed.

Question No: 15 (Marks: 1) – Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.

- ▶ The financial account.
- ▶ All three components are equally important.

Question No: 16 (Marks: 1) – Please choose one

An increase in “per capita” national income implies that:

- ▶ Everyone in the nation is enjoying a better standard of living.
- ▶ The population has increased.
- ▶ **National income has risen faster than the population has risen.**
- ▶ The distribution of income has improved.

Reference:

<http://www.ecoteacher.asn.au/devel2/devel2.htm>

Question No: 17 (Marks: 1) – Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

- ▶ **Interest rate rises and investment falls.**
- ▶ Interest rate rises and velocity of circulation also rises.
- ▶ Higher interest rates encourage the central bank to increase the money supply.
- ▶ Interest rate falls and exports rise.

Question No: 18 (Marks: 1) – Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ **The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.**
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.
- ▶ The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 19 (Marks: 1) – Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ **The dollar can now purchase more yen.**
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ The yen can now purchase more dollars.
- ▶ The dollar has depreciated relative to the yen.

Question No: 20 (Marks: 1) – Please choose one

The Marginal Propensity to Save (MPS) is:

- ▶ **One Minus Marginal Propensity to Consume (MPC).**
- ▶ Saving divided by consumption.
- ▶ The slope of the consumption function (or line).
- ▶ The proportion of disposable income used for consumption.

Question No: 21 (Marks: 1) – Please choose one

Which of the following is true about supply curve under monopoly?

- ▶ It is same as the competitive market supply curve.
- ▶ **It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.**
- ▶ It is the result of market power and production costs.
- ▶ None of the given statements is true.

Question No: 22 (Marks: 1) – Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ **The supply of non-cartel members is very price elastic.**

Question No: 23 (Marks: 1) – Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

- ▶ **V and Q are assumed to be constant.**
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 24 (Marks: 1) – Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

- ▶ **If labor force is fully employed.**
- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 25 (Marks: 1) – Please choose one

Which of the following specifies the maximum amount of a good that may be imported in a given period of time?

- ▶ Trade restriction.
- ▶ **Quota.**
- ▶ Import restriction.
- ▶ Legislative restriction.

Question No: 26 (Marks: 1) – Please choose one

GNP is a good indicator of:

- ▶ **The total payment of factor owners.**
- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.

- ▶ The amount of incomes available for spending.

Question No: 27 (Marks: 1) – Please choose one

The demand for factors of production is derived from:

- ▶ Money market.
- ▶ **Goods market.**
- ▶ Stock market.
- ▶ Financial market.

Question No: 28 (Marks: 1) – Please choose one

Labor supply curve is backward bending because:

- ▶ **The income effect of higher income dominates the substitution effect of higher wages.**
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 29 (Marks: 1) – Please choose one

The discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

- ▶ Future value.
- ▶ **Net present value.**
- ▶ Discounted value.
- ▶ Disposal value.

Question No: 30 (Marks: 1) – Please choose one

Information products are also known as:

- ▶ Inferior products.
- ▶ Superior products.

- ▶ Internet products.
- ▶ Expensive products.

Question No: 31 (Marks: 1) – Please choose one

Refer to the above figure, suppose that the economy is in long-run equilibrium at point A. Now suppose the stock market crashes, significantly reducing household wealth. What happens in the short-run?

- ▶ Real GDP remains at Y_1 but the price level falls to P_3 .
- ▶ The quantity of real GDP demanded falls resulting in a movement from point A to point F.
- ▶ **Real GDP decreases from Y_1 to Y_3 and the price level falls from P_1 to P_3 .**
- ▶ The economy moves to a short-run equilibrium at point D.

Question No: 32 (Marks: 1) – Please choose one

Which of the following is a cost of rising unemployment?

- I. Output foregone.**
- II. Unemployment compensation that must be paid.**
- III. Rising inflation that erodes the value of money.**
- ▶ I, II, and III.
- ▶ **I and II.**
- ▶ I and III.
- ▶ II and III.

Question No: 33 (Marks: 1) – Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ **That the price level is rising at an increasing rate.**
- ▶ That the price level is rising at a variable rate.

Question No: 34 (Marks: 1) – Please choose one

Economic growth occurs by an outward shift of:

- ▶ **The production possibility frontier.**
- ▶ The gross domestic barrier.
- ▶ The marginal consumption frontier.
- ▶ The minimum efficient scale.

Question No: 35 (Marks: 1) – Please choose one

Which of the following is a necessary condition for the high rate of modern economic growth?

- ▶ **Continuous technology progress.**
- ▶ High rate of population growth.
- ▶ Development of urban centers.
- ▶ Expansion of railways.

Question No: 36 (Marks: 1) – Please choose one

The government has a balanced budget if:

- ▶ **Its total revenues are equal to its total expenditures.**
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 37 (Marks: 1) – Please choose one

Which of the following is the monetary policy tool that involves the buying and selling of government bonds?

- ▶ Moral suasion.
- ▶ Reserve requirements.
- ▶ The discount rate.
- ▶ **Open market operations.**

Question No: 38 (Marks: 1) – Please choose one

When the comparative advantage in production of a good does occur?

- ▶ When a country can produce that good using fewer resources than other countries.
- ▶ When a country can produce that good at a greater opportunity cost than other countries.
- ▶ **When a country can produce that good at a lower opportunity cost than other countries.**
- ▶ When a country has a greater supply of natural resources required to produce that good, compared to other countries.

Question No: 39 (Marks: 1) – Please choose one

A quota is defined as:

- ▶ A restriction on exports.
- ▶ A unit tax imposed on a product.
- ▶ A limit on the quantity of a good that can be exported.
- ▶ **A limit on the quantity of a good that can be imported.**

Question No: 40 (Marks: 1) – Please choose one

Which of the following statements is TRUE about the agriculture sector in low income countries?

- ▶ **The agricultural sector has been decreasing in size because its productive workers prefer to migrate to urban areas.**
- ▶ The agricultural sector is by far the largest producer and the most productive sector in low-income countries.
- ▶ Although the agricultural sector is the largest employer, labor's productivity in this sector is very low.
- ▶ The agricultural sector has been increasing in size and in terms of labor productivity as rural farmers increasingly start to mechanize.

Question No: 41 (Marks: 1) – Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ **A decrease in the size of the working-age population.**
- ▶ Increased production of capital goods.

Question No: 42 (Marks: 1) – Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

- ▶ **10.**
- ▶ 20.
- ▶ 30.
- ▶ 40.

Question No: 43 (Marks: 1) – Please choose one

If marginal revenue is Rs. 15,000 and marginal cost is Rs. 20,000. The firm should:

- ▶ Expand output.
- ▶ Do nothing without information about your fixed costs.
- ▶ Expand output until marginal revenue equals zero.
- ▶ **Reduce output until marginal revenue equals marginal cost.**

Question No: 44 (Marks: 1) – Please choose one

The average annual income per head for all the inhabitants of the country is known as:

- ▶ Gross domestic product.
- ▶ Gross national product.
- ▶ Net national product.
- ▶ **Per capita income.**

Question No: 45 (Marks: 1) – Please choose one

Gross domestic product deflator can be obtained by dividing nominal gross domestic product with:

- ▶ **Real gross domestic product.**
- ▶ Gross national product.
- ▶ Net national product.
- ▶ Per capita income.

Question No: 46 (Marks: 1) – Please choose one

The principle which states that a change in income causes a magnified change in investment is termed as the:

- ▶ None of the given.
- ▶ Paradox of thrift.
- ▶ Multiplier effect.
- ▶ **Accelerator effect.**

Question No: 47 (Marks: 1) – Please choose one

If central bank increased the money supply, then what will be happen to IS curve?

- ▶ **IS curve will Shifts rightward.**
- ▶ IS curve will Shifts leftward.
- ▶ IS curve will remain unaffected.
- ▶ IS curve will become vertical.

Question No: 48 (Marks: 1) – Please choose one

The value of world trade has increased ———over the period of 1930-2000.

- ▶ **20 fold**
- ▶ 10 fold
- ▶ 5 fold
- ▶ 14 fold

Collected By "Anonymous"

Question No: 49 (Marks: 3)

Write down the functions of commercial banks.

Question No: 50 (Marks: 3)

How the growth rate of output is determined in the exogenous growth model?

Question No: 51 (Marks: 5)

Why is taxation necessary? What are the principles of taxation?

Question No: 52 (Marks: 5)

Following figure shows the circular flow of goods and income in a two sector economy. Interpret all the points in this figure that how the household sector and business sector work in an economy to produce goods and services.

Question No: 53 (Marks: 5)

Explain the difference between current account and capital account?

3rd paper

FINAL TERM EXAMINATION

Spring 2010

ECO401- Economics (Session - 1)

Ref No:

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ☐ The economy's production possibilities curve will shift outward.

- ☐ The economy's production possibilities curve will become steeper.
- ☐ The economy will move downward along its production possibilities curve.

► **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 2 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ☐ Price elasticity of demand.
- **Income elasticity of demand.**
- ☐ Supply price elasticity.
- ☐ Cross price elasticity.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ☐ 20 percent decrease in the quantity of boots demanded.
- **2 percent increase in the quantity of boots demanded.**
- ☐ 0.2 percent increase in the quantity of boots demanded.
- ☐ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

- ☐ Encourage workers to retire later.
- ☐ Encourage workers to work more hours.
- ☐ Have no effect on incentive to retire.

- **Encourage workers to retire earlier.**

Question No: 5 (Marks: 1) - Please choose one

Marginal profit is equal to:

- **Marginal revenue minus marginal cost.**

- ☐ Marginal revenue plus marginal cost.
- ☐ Marginal cost minus marginal revenue.
- ☐ Marginal revenue times marginal cost.

Question No: 6 (Marks: 1) - Please choose one

_____ The
good produced by a monopoly:

- ☐ Has perfect substitutes.
- ☐ Has no substitutes at all.
- **Has no close substitutes.**
- ☐ Can be easily duplicated.

Question No: 7 (Marks: 1) - Please choose one

_____ If a
firm experiences economies of scale, then the:

- ☐ Long-run average total cost curve is equal to the economies of scope.
- **Long-run average total cost curve is positively sloped.**
- ☐ Long-run average total cost curve is horizontal.
- ☐ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

► Hire more labor.

☐ Hire less labor.

☐ Maintain the same employment.

☐ Decrease output.

Question No: 9 (Marks: 1) - Please choose one

_____ An
increase in the wage rate:

► Will usually lead to more people employed.

☐ Will decrease total earnings if the demand for labour is wage elastic.

☐ Is illegal in a free market.

☐ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

_____ Keynesian economics rejected the classical assumption that:

► Supply creates its own demand.

☐ Prices and wages are inflexible.

☐ Self-correction takes a long time.

☐ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

_____ A
nation's balance of payments can be affected by changes in:

☐ Foreign income.

☐ The differential between domestic and foreign interest rates.

► The real exchange rate.

☐ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

☐ All four sectors only when the economy is at full employment.

☐ All four sectors at a specific aggregate production level.

☐ The household sector after taxes.

► The business and government sectors.

Question No: 13 (Marks: 1) - Please choose one

of the following conditions lead to the successful operation of a cartel EXCEPT:

All

☐ Market demand for the good is relatively inelastic.

☐ The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

☐ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

If

Labor	Total output
1	8
2	23
3	33

4	38
5	41

☐ 100.

☐ 10.

☐ 40.

☒ 60.

Question No: 15 (Marks: 1) - Please choose one

_____ All
of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

☐ The exchange-rate effect.

☐ The wealth effect.

☒ The classical dichotomy / monetary neutrality effects.

☐ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

_____ Why
calculations of Gross Domestic Product (GDP) count only final goods and services?

☐ Because it is difficult to measure the prices of intermediate goods produced.

☒ Because these are the only goods and services that are purchased in an economy.

☐ Because counting all goods and services would lead to double-counting of many activities.

☐ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

- ☐ Personal saving and private investment.
- ☐ Personal saving and personal consumption.
- ☐ Personal consumption and personal income.

► **Personal consumption and private investment.**

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

- ☐ M has no effect on the price level.
- **V is the number of times each dollar is spent per year.**
- ☐ Q is the real price level.
- ☐ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

► **If labor force is fully employed.**

- ☐ If price level is stable.
- ☐ If trade balance is zero.
- ☐ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate

is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ☐ A higher output level than before.
- **The same output level as before.**
- ☐ A lower output level than before.
- ☐ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ☐ The steady state below the Golden Rule level.
- **The same steady state.**
- ☐ Their own steady state.
- ☐ The Golden Rule steady state.

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ☐ A producer has an absolute advantage on one product.
- **A producer has the comparative advantage on both products.**
- ☐ A producer has the comparative advantage on one product.
- ☐ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- **Positive.**

- ☐ Negative.
- ☐ Ambiguous.
- ☐ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ☐ The number of people employed minus the labor force.
- ☐ The labor force plus the number of people employed.
- ☐ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

▶ **With economic fluctuations; it increases during bad times and decreases during good times.**

- ☐ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ☐ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ☐ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**
- ☐ A decrease in profit margins.
- ☐ An increase in unemployment.
- ☐ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ☐ An increase in the growth rate of the capital stock.
- ☐ A reduction in the corporate profits tax.

► **An increase in the level of unemployment compensation paid to unemployed workers.**

- ☐ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

_____ If
foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

► **3%.**

- ☐ 10%.
- ☐ 7%.
- ☐ 13%.

Question No: 29 (Marks: 1) - Please choose one

_____ One
of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

► **Be poorer than countries with lower population growth.**

- ☐ Grow slower than countries with lower population growth.
- ☐ Grow higher than countries with lower population growth.
- ☐ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

_____ The relationship between tax rates and total tax collections by government is known as:

☐ Laffer curve.

► **Demand curve.**

☐ Supply curve.

☐ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

_____ Which of the following shows the inverted-U shape when plotted on a graph?

☐ Consumption curve.

☐ Supply curve.

☐ Laffer curve.

► **Investment curve.**

Question No: 32 (Marks: 1) - Please choose one

_____ In a period of recession, credit creation is:

► **Small.**

☐ Heavy.

☐ Unchanged.

☐ Zero.

Question No: 33 (Marks: 1) - Please choose one

_____ LM curve shows the equilibrium in:

☐ Money Market.

► **Goods Market.**

☐ Labor Market.

☐ Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A

country has a comparative advantage:

☐ If it can produce a good at a higher opportunity cost than other nations.

► If it can produce a good at a lower opportunity cost than other nations.

☐ If it can produce a good by using less resources than other nations.

☐ If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

► Substantial rise in product per capital.

☐ Increased productivity per unit of labor input.

☐ Increasing use of modern scientific knowledge.

☐ All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

☐ Total spending on good Y to rise.

☐ Total spending on good Y to fall.

☐ Total spending on good Y to remain unchanged.

► An indeterminate effect on total spending on good Y.

Question No: 37 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

☐ Shifts to the left.

► Shifts to the right.

☐ Remains constant.

☐ Shifts to the right initially and then returns to its original position.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

► The assumption of a diminishing marginal rate of substitution will be violated.

☐ The assumption of transitivity will be violated.

☐ The assumption of completeness will be violated.

☐ Consumers will minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

► Increasing the inputs by 1% leads to a 0.75% increase in output.

☐ Increasing the inputs by 1.6% leads to a 1.5% increase in output.

☐ Increasing the inputs by 2% leads to a 4% increase in output.

☐ None of the given options.

Question No: 40 (Marks: 1) - Please choose one

Average total costs are the sum of:

► Fixed costs and marginal costs

☐ Average variable costs and marginal costs

☐ Average fixed costs and average variable costs

☐ Average marginal costs and average variable costs

Question No: 41 (Marks: 1) - Please choose one

Theory of firm is not clearly discussed & established in

☐ Monopoly.

☐ Perfect competition.

☐ Oligopoly.

► None of the given options.

Question No: 42 (Marks: 1) - Please choose one

_____ If a
7% price reduction causes quantity demanded to rise by 10% then:

☐ Demand is inelastic.

☐ Demand is elastic.

► Demand is perfectly elastic.

☐ Total revenue will remain constant.

Question No: 43 (Marks: 1) - Please choose one

Which of the following is not a component of aggregate demand?

☐ Consumption spending.

☐ Investment expenditures.

► Government expenditures.

☐ Household income.

Question No: 44 (Marks: 1) - Please choose one

_____ If
the simple Keynesian expenditure multiplier is 2, the Marginal Propensity to Consume (MPC) is:

☐ 0.75

☐ 0.50

☐ 0.25

☒ 1.00

Question No: 45 (Marks: 1) - Please choose one

Monetarists believed that the economy generally:

☐ Lies above full-employment.

☐ None of the given options.

☐ Lies below full-employment.

☒ Gravitated around a full-employment.

Question No: 46 (Marks: 1) - Please choose one

Balance of payment is an accounting record of a country's transactions with:

☐ South Asian countries.

☐ Middle East.

☒ Rest of the world.

☐ USA and China.

Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

☐ Interest rate increases, investment and GDP reduces.

☐ Interest rate increases, investment increases and GDP reduces.

☐ Interest rate reduces, investment and GDP increases.

☐ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

_____ The demand for money to buy bonds is called:

- ☐ Transactions demand for money.
- ☐ Precautionary demand for money.
- ☐ Speculative demand for money.

► All of the given options.

Question No: 49 (Marks: 3)

_____ Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.

Pakistani travelers traveling to the US.

Pakistani students paying for study in US universities.

profits repatriated to

US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

_____ Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (e.g. **resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

_____ "Slope of the consumption function is less than 1". What is meant by this statement?

Collected By "Anonymous"

When we draw in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

A. What are the major macroeconomic variables involved in the determination of national income?
(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different.

whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when buyers and sellers exit and ready to sell and buy.

The main driving force for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foreign exchange market

US \$ - UK POUND Foreign exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive

good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

Collected By “Anonymous”

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

4th paper

FINAL TERM EXAMINATION

Spring 2010

ECO401- Economics (Session - 2)

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

_____ A
good for which income and quantity demanded are inversely related is known as:

► **Inferior good.**

☐ Complementary good.

☐ Normal good.

☐ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

_____ At
the equilibrium price:

- ☐ There will be a shortage.
- ☒ **There will be neither a shortage nor a surplus.**
- ☐ There will be a surplus.
- ☐ There are forces that cause the price to change.

Question No: 3 (Marks: 1) - Please choose one

_____ A
graph showing all the combinations of capital and labour available for a given total cost is the:

- ☐ Budget constraint.
- ☐ Expenditure set.
- ☐ Isoquant.
- ☒ **Isocost.**

Question No: 4 (Marks: 1) - Please choose one

_____ The
supply curve for a competitive firm is:

- ☐ Its entire marginal cost curve.
- ☐ The upward-sloping portion of its marginal cost curve.
- ☒ **Its marginal cost curve above the minimum point of the average variable cost curve.**
- ☐ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 5 (Marks: 1) - Please choose one

_____ A
perfectly competitive firm maximizes profit by finding the level of production at which:

- ☐ Price = Marginal Cost.
- ☐ Price = Average Total Cost.

☐ Average Total Cost = Marginal Cost.

► **Price < Marginal Cost.**

Question No: 6 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

☒ **The demand curve is tangent to marginal cost curve.**

☐ The demand curve is tangent to average cost curve.

☐ The marginal cost curve is tangent to average cost curve.

☐ The demand curve is tangent to marginal revenue curve.

Question No: 7 (Marks: 1) - Please choose one

Value of Marginal Product of Labor (VMP_L) is equal to:

☐ MPP_L / P_i

☐ MPP_L

☐ P_i

☒ **$MPP_L \times P_i$**

Question No: 8 (Marks: 1) - Please choose one

_____ The
marginal revenue product is:

☐ Upward sloping due to the law of demand.

☐ Upward sloping due to the law of marginal utility.

☒ **Downward sloping due to the law of diminishing returns.**

☐ Downward sloping due to the law of supply.

Question No: 9 (Marks: 1) - Please choose one

_____ The

classical economists thought that the economy would quickly overcome any short run instability because:

- ☐ Price level and quantity are flexible.
- ☐ Prices would get stuck at a low level.
- ☐ The long run aggregate supply would shift to the left.
- ☒ **Prices and wages are flexible.**

Question No: 10 (Marks: 1) - Please choose one

_____ An
assumption of classical economics is:

- ☐ Investment and saving are seldom equal.
- ☐ Self-correction takes a long time.
- ☐ Demand creates its own supply.
- ☒ **Prices and wages are flexible.**

Question No: 11 (Marks: 1) - Please choose one

_____ Gross Domestic Product is:

- ☐ A stock variable.
- ☒ **A flow variable.**
- ☐ Both a stock and a flow variable.
- ☐ Neither a stock nor a flow variable.

Question No: 12 (Marks: 1) - Please choose one

_____ The
labour force is made up of:

- ☐ The number of people employed minus the number of people unemployed.
- ☒ **The number of people employed plus the number of people unemployed.**
- ☐ Just the number of people employed.

☐ The whole population.

Question No: 13 (Marks: 1) - Please choose one

_____ A
government wishing to reduce a deficit on the current account of their balance of payments through the use of fiscal policy would be most likely to:

☐ Raise direct taxation.

☐ Introduce an import quota.

☐ Raise interest rates.

☒ Reduce the rate of value added tax on all goods and services.

Question No: 14 (Marks: 1) - Please choose one

_____ If
imports = exports, then we have:

☐ Current account balance.

☐ Capital account balance.

☐ Statistical discrepancy.

☒ Balanced Budget.

Question No: 15 (Marks: 1) - Please choose one

_____ The
principle economic difference between a competitive and a non-competitive market is:

☐ The number of firms in the market.

☒ The extent to which any firm can influence the price of the product.

☐ The size of the firms in the market.

☐ The annual sales made by the largest firms in the market.

Question No: 16 (Marks: 1) - Please choose one

_____ Disposable Income is obtained by subtracting ----- from personal income.

☐ Indirect Taxes.

☐ Direct Taxes.

☐ Both direct and indirect taxes.

☐ Subsidies.

Question No: 17 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

☐ Equal to price.

☒ Equal to average cost.

☐ Less than price.

☐ More than price.

Question No: 18 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

☒ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.

☐ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

☐ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

☐ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 19 (Marks: 1) - Please choose one

Suppose an economy is at full employment equilibrium in the classical model. What will be the long run effect of an increase in government spending in this economy?

☐ Price level will increase.

☐ The aggregate demand curve will shift upward.

☐ Output level will remain constant.

☐ All of the given options.

Question No: 20 (Marks: 1) - Please choose one

_____ This year, if national product at factor cost is Rs. 500 billion, indirect taxes 150 billion and subsidies Rs. 50 billion, then national product at market prices will be:

☒ Rs. 700 billion.

☐ Rs. 650 billion.

☐ Rs. 600 billion.

☐ Rs. 300 billion.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is an example of an injection?

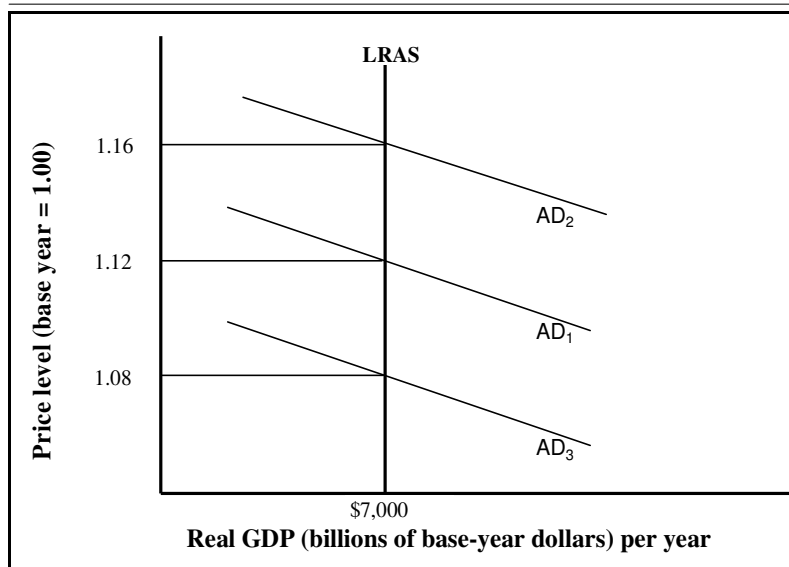
► Taxes.

☐ Saving.

☐ Imports.

☐ Investment.

Question No: 22 (Marks: 1) - Please choose one

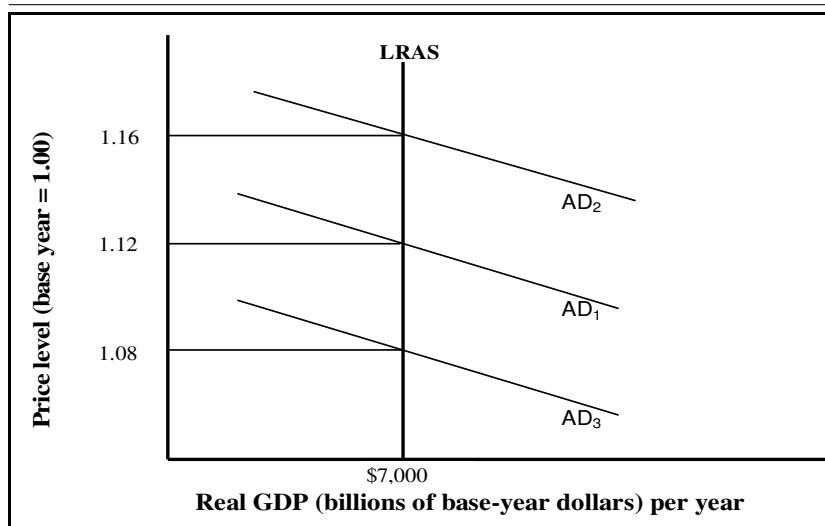


Refer to the above figure, the potential output in this economy is:

- ☐ \$7,000 billion at a price level of 1.16.
- ☐ \$7,000 billion at a price level of 1.12.
- ☐ \$7,000 billion at a price level of 1.08.

► All of the given options.

Question No: 23 (Marks: 1) - Please choose one



Refer to the above figure, if the real GDP is \$7,000 billion and the implicit price deflator is 1.16, what is the value of nominal GDP?

- ☐ \$6,034 billion.
- ☐ \$8,120 billion.
- ☐ \$9,120 billion.

► Cannot be determined from the given information.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ☐ Accelerator coefficient = Marginal capital / output ratio.
- ☐ Accelerator coefficient > Marginal capital / output ratio.

☐ Accelerator coefficient < Marginal capital / output ratio.

☒ None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Which of the following predictions can be made using the growth rates associated with the equation of exchange, given that velocity is stable and that the economy moves to its potential output (Y_p) in the long run?

☒ If the money supply grows at a faster rate than growth in Y_p , there will be inflation.

☐ If the money supply grows at the same rate as growth in Y_p , the price level will fall and there will be deflation.

☐ If the money supply grows at the same rate as growth in Y_p , the price level will also increase at the same rate as growth in Y_p .

☐ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

☐ All of the given options.

☒ Consumer tastes for domestic and foreign goods.

☐ Prices of goods at home and abroad.

☐ Costs of transporting goods from country to country.

Question No: 27 (Marks: 1) - Please choose one

Disposable Personal Income	Consumption
\$	\$
100	140
200	220

300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$100, what is the amount of personal saving?

☒ -\$40.

☐ -\$20

☐ \$0.

☐ \$20.

Question No: 28 (Marks: 1) - Please choose one

Disposable Personal Income	Consumption
\$	\$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

☐ -\$40.

☐ -\$20.

☐ \$0.

☒ \$20.

Question No: 29 (Marks: 1) - Please choose one

_____ The
price of one unit of foreign good in terms of domestic good is known as:

- ☐ Inflation rate.
- ☒ Real exchange rate.
- ☐ Nominal exchange rate.
- ☐ Discount rate.

Question No: 30 (Marks: 1) - Please choose one

_____ Development is impossible without:

- ☐ Incentive to profit.
- ☐ Foreign aid.
- ☐ Domestic savings.
- ☒ Inflation.

Question No: 31 (Marks: 1) - Please choose one

_____ Which of the following is not likely to be a cause of economic growth?

- ☐ Improved rate of capital formation.
- ☒ Increase in money supply.
- ☐ Increase in investment in education and training.
- ☐ Rapid technical progress.

Question No: 32 (Marks: 1) - Please choose one

_____ The
money multiplier is the reverse of:

- ☐ Legal reserves.
- ☐ Excess reserves.

☐ Checkable deposits.

► **The reserve ratio.**

Question No: 33 (Marks: 1) - Please choose one

A

primary function of a central bank is to:

☐ Regulate dividend payments by corporations.

☐ Control the bond market.

► **Set monetary policy.**

☐ Publish statistics on banking and related financial matters.

Question No: 34 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

☐ It will shift the IS curve to the left and decrease both the interest rate and the level of income.

☐ It will shift the IS curve to the right and increase both the interest rate and the level of income.

☐ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.

☒ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

Question No: 35 (Marks: 1) - Please choose one

IS

curve shows the equilibrium in:

☐ Money Market.

☒ **Goods Market.**

☐ Labor Market.

☐ Financial Market.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is TRUE for investment function and the IS curve slope?

- ☐ It is upward because higher interest rates induce more investment.
- ☐ It is upward because higher interest rates induce less investment.
- ☐ It is downward because higher interest rates induce more investment.
- ☒ **It is downward because higher interest rates induce less investment.**

Question No: 37 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ☒ **The demand curve for airline travel shifts left.**
- ☐ The demand curve for airline travel shifts right.
- ☐ The supply curve of airline travel shifts left.
- ☐ The supply curve of airline travel shifts right.

Question No: 38 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- ☒ **Decreasing returns to scale.**
- ☐ Constant returns to scale.
- ☐ Increasing returns to scale.
- ☐ None of the given options.

Question No: 39 (Marks: 1) - Please choose one

What will happen if current output is less than the profit-maximizing output?

- ☒ **The next unit produced will decrease profit.**
- ☐ The next unit produced will increase cost more than it increases revenue.
- ☐ The next unit produced will increase revenue more than it increases cost.
- ☐ The next unit produced will increase revenue without increasing cost.

Question No: 40 (Marks: 1) - Please choose one

_____ In
which of the following situations, a monopoly occurs?

- ☐ When each firm produces a product that is slightly different from the other firms.
- ☒ **When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**
- ☐ When there are many firms producing the same product.
- ☐ In all of the given situations.

Question No: 41 (Marks: 1) - Please choose one

_____ Concentration ratio is used to assess:

- ☒ **The level of competition in an industry.**
- ☐ The degree of control over prices.
- ☐ The technological gaps between the firms.
- ☐ Marginal cost and marginal benefit analysis.

Question No: 42 (Marks: 1) - Please choose one

_____ If an
increase in price increases the total revenue then:

- ☒ **Demand is elastic.**
- ☐ Demand is inelastic.
- ☐ Supply is elastic.
- ☐ Supply is inelastic.

Question No: 43 (Marks: 1) - Please choose one

_____ Revaluation of the currency encourages:

- ☐ Imports.
- ☒ **Exports.**

☐ Poverty.

☐ Inflation.

Question No: 44 (Marks: 1) - Please choose one

Growth rate of total output is equal to:

☐ Growth rate of per capita income - Growth rate of population.

☐ Growth rate of population / Growth rate of per capita income.

☒ **Growth rate of population + Growth rate of per capita income.**

☐ Growth rate of population - Growth rate of per capita income.

Question No: 45 (Marks: 1) - Please choose one

Government can borrow from domestic banking system or general public by selling:

☐ Shares of any of its institute.

☐ Stocks.

☒ **Treasury bills.**

☐ Debentures.

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an equilibrium condition in goods market?

☐ Investment = Saving.

☒ **Money supply = Money demand.**

☐ Aggregate demand = $C + I + G + NX$.

☐ Aggregate demand = Aggregate supply.

Question No: 47 (Marks: 1) - Please choose one

If the exchange rate is fixed, expansionary fiscal policy would not have any:

☐ Investment multiplier effect.

☐ Crowding out effects.

☐ **Government spending effect .**

☐ None of the given options.

Question No: 48 (Marks: 1) - Please choose one

_____ The
common characteristics of a developing country is:

☐ **High growth rate.**

☐ High literacy rate.

☐ Skilled labor.

☐ High unemployment rate.

Question No: 49 (Marks: 3)

_____ Define balance of payment (BOP). How the BOP can be determined?

Answer:

A BOP is a sheet in other words an account sheet which is an accounting record of all monetary transactions between a country and the rest of the world.

These transactions include

→ Payments for the country's exports and imports of goods, services, and financial capital, as well as financial transfers.

The BOP summarizes international transactions for a specific period, usually a year, and is prepared in a single currency, typically the domestic currency for the country concerned.

Surplus items:

Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive/surplus items.

Deficit items:

Uses of funds, such as for imports or to invest in foreign countries, are recorded as a negative or deficit item.

Collected By “Anonymous”

It can be determined if we see the things in both perspective. In other words it is a non-complicated way, let's assume that we have two countries Pakistan and United States and things are viewed from Pakistan point of view.

For this purpose we must know the market for foreign exchange. Foreign exchange in a Pakistani context means US \$ and in a US point of view it is Pak rupees.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

Money demand M_d increases with income levels.

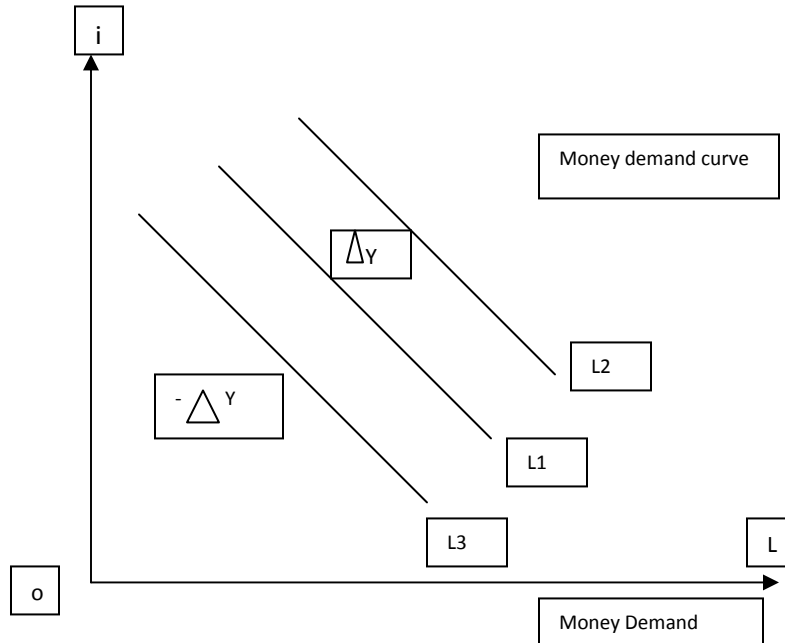
Money demand M_d falls with interest rates.

In this concept we are talking about real income and real interest rate not the nominal income and nominal interest rate.

So this implies to the demand of real money.

Whether nominal and real money supply is equal or not depends much on the assumption regarding prices. If prices are assumed fixed, then the two are equal, otherwise not.

As you can see from the diagram where money demand is on the x-axis and income is on the y-axis, and there are various levels shown like L_1, L_2, L_3 .



Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is “**Economic Deflation**”

Economic Deflation says When a country’s national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.

The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.

However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devalue or “devaluation”.

Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.

Collected By “Anonymous”

A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness.

Competitiveness is simply defined as the real exchange rate RER, where $RER = (P_f/P_d) \times NER$. Where

NER → Nominal Exchange rate

P_f → is the price level prevailing in the foreign country (US)

P_d → is the price level prevailing in the home country (Pakistan).

The formula implies that, for a fixed NET if inflation is higher in Pakistan (relative to

the US), Pakistani exports will become less attractive in the international market. As a result, our exports will fall, and current account will go into deficit.

To fix this problem, the NER can be devalued so as to make our goods cheaper and competitive and it is to bring competitiveness back to its original higher level. However, there are many provisos attached to the devaluation policy prescription.

Devaluation only works if the country's exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Capital account (+ or -)

+ → Incoming FDI, FPI or other private capital

- → Outgoing FDI, FPI or other private capital

+ → Borrowing, aid inflows

- → Payments of debt principal, aid outflows

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

- a) Unemployment → **Stock**
- b) Redundancies (job lay-offs) → **Flow**
- c) Profits → **Flow**

- d) A firm's stock market valuation (share price)→Stock
- e) The value of property after a period of inflation→Stock

(Marks: 1 for each)

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Ans:

World Bank has suggested following policies for the poor countries to grow,

1. **Governance and administrative reforms:** To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.
2. **Privatization of state-owned enterprises:** Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering from lack of competition, cost awareness and fear of bankruptcy.
3. **Financial liberalization:** It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation
4. **Liberalization of prices, removal of subsidies**
5. **Deregulation involving dismantling of licensing systems and red-tape**
6. **Trade liberalization:** including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof.
7. **FDI liberalization:** To create a transparent, predictable environment for foreign investors to operate in.
8. **Capital account liberalization:** To remove controls on capital flows

These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.

5th paper

Spring 2010

ECO401- Economics (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

An

increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 2 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- **All of the given options.**

Question No: 4 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ **Indifference curves slope downwards.**
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 5 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

- ▶ The consumer's indifference curve must be positively sloped.
- ▶ The consumer's indifference curve must be convex with respect to the origin of the graph.
- **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.**
- ▶ All of the given options.

Question No: 6 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

- ▶ Flatter.
- **Steeper.**
- ▶ Identical.
- ▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

In economics, the “long run” is a time period in which:

- ▶ **All inputs are variable.**
- ▶ All inputs are paid for.

- ▶ All outputs are determined.
- ▶ All loans are repaid.

Question No: 8 (Marks: 1) - Please choose one

To

find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- **None of the given options.**

Question No: 9 (Marks: 1) - Please choose one

A

perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 10 (Marks: 1) - Please choose one

In

the short run, a firm should shut down when:

- ▶ Production losses are less than fixed costs.
- ▶ Only normal profits are earned.
- **Production losses exceed fixed costs.**
- ▶ Fixed costs are zero.

Question No: 11 (Marks: 1) - Please choose one

Loud music from a neighbor's party is:

- **A negative externality whether or not you like it.**

- ▶ A positive externality whether or not you like it.
- ▶ A positive externality if you like the music and a negative externality if you don't.
- ▶ A negative externality if you like the music and a positive externality if you don't.

Question No: 12 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 13 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ **Unemployment benefits reduce the cost of the job search.**
- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 14 (Marks: 1) - Please choose one

Naima has just finished her school job and is waiting to report to new job at the beginning of the month. Naima is considered to be:

- ▶ Cyclically unemployed.
- ▶ Employed.
- **Structurally unemployed.**
- ▶ Frictionally unemployed.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Reference:

http://wps.prenhall.com/bp_hubbard_econ_2/85/21856/5595147.cw/-/5595174/index.html

Question No: 16 (Marks: 1) - Please choose one

An

increase in "per capita" national income implies that:

- ▶ Everyone in the nation is enjoying a better standard of living.
- ▶ The population has increased.
- **National income has risen faster than the population has risen.**
- ▶ The distribution of income has improved.

Reference:

<http://www.ecoteacher.asn.au/devel2/devel2.htm>

Question No: 17 (Marks: 1) - Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

- ▶ **Interest rate rises and investment falls.**
- ▶ Interest rate rises and velocity of circulation also rises.
- ▶ Higher interest rates encourage the central bank to increase the money supply.
- ▶ Interest rate falls and exports rise.

Question No: 18 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- **The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.**

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 19 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

➤ **The dollar can now purchase more yen.**

► The US trade balance with the Japanese economy has improved.

► The yen can now purchase more dollars.

► The dollar has depreciated relative to the yen.

Question No: 20 (Marks: 1) - Please choose one

Marginal Propensity to Save (MPS) is:

➤ **One Minus Marginal Propensity to Consume (MPC).**

► Saving divided by consumption.

► The slope of the consumption function (or line).

► The proportion of disposable income used for consumption.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.

➤ **It is the portion of the marginal cost curve where marginal costs exceed the minimum value of the variable costs.**

► It is the result of market power and production costs.

► None of the given statements is true.

Question No: 22 (Marks: 1) - Please choose one

All

of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- **The supply of non-cartel member is very price elastic.**

Question No: 23 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

- **V and Q are assumed to be constant.**
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 24 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

- **If labor price is fully employed.**
- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 25 (Marks: 1) - Please choose one

Which of the following specifies the maximum amount of a good that may be imported in a given period of time?

- ▶ Trade restriction.

➤ **Quota.**

- ▶ Import restriction.
- ▶ Legislative restriction.

Question No: 26 (Marks: 1) - Please choose one

GNP

is a good indicator of:

➤ **The total payment of factor owners.**

- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

Question No: 27 (Marks: 1) - Please choose one

The demand for factors of production is derived from:

- ▶ Money market.
- **Goods market.**
- ▶ Stock market.
- ▶ Financial market.

Question No: 28 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- ▶ **The income effect of higher income dominates the substitution effect of higher wages.**
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 29 (Marks: 1) - Please choose one

The discounted value of the net returns that the asset generates over a period of time plus the

discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

- ▶ Future value.
- **Net present value.**
- ▶ Discounted value.
- ▶ Disposal value.

Question No: 30 (Marks: 1) - Please choose one

Information products are also known as:

- ▶ Inferior products.
- ▶ Superior products.
- **Internet products.**
- ▶ Expensive products.

Question No: 31 (Marks: 1) - Please choose one

Refer to the above figure, suppose that the economy is in long-run equilibrium at point A. Now suppose the stock market crashes, significantly reducing household wealth. What happens in the short-run?

- ▶ Real GDP remains at Y_1 but the price level falls to P_3 .
- ▶ The quantity of real GDP demanded falls resulting in a movement from point A to point F.
- **Real GDP decreases from Y_1 to Y_3 and the price level falls from P_1 to P_3**
- ▶ The economy moves to a short-run equilibrium at point D.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a cost of rising unemployment?

- I. Output foregone.
- II. Unemployment compensation that must be paid.
- III. Rising inflation that erodes the value of money.

► I, II, and III.

► **I and II.**

► I and III.

► II and III.

Question No: 33 (Marks: 1) - Please choose one

Rising inflation means:

► That the price level is increasing by a given percentage rate.

► That the prices of all goods and services increase from year to year.

► **That the price level is rising at an increasing rate.**

► That the price level is rising at a variable rate.

Question No: 34 (Marks: 1) - Please choose one

Economic growth occurs by an outward shift of:

➤ **The production possibility frontier.**

► The gross domestic barrier.

► The marginal consumption frontier.

► The minimum efficient scale.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is a necessary condition for the high rate of modern economic growth?

➤ **Continuous technology progress.**

► High rate of population growth.

► Development of urban centers.

► Expansion of railways.

Question No: 36 (Marks: 1) - Please choose one

government has a balanced budget if:

The

- **Its total revenue are equal to its total expenditures.**
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the monetary policy tool that involves the buying and selling of government bonds?

- ▶ Moral suasion.
- ▶ Reserve requirements.
- ▶ The discount rate.
- **Open market operations.**

Question No: 38 (Marks: 1) - Please choose one

When the comparative advantage in production of a good does occur?

- ▶ When a country can produce that good using fewer resources than other countries.
- ▶ When a country can produce that good at a greater opportunity cost than other countries.
- ▶ **When a country can produce that good at a lower opportunity cost than other countries.**
- ▶ When a country has a greater supply of natural resources required to produce that good, compared to other countries.

Question No: 39 (Marks: 1) - Please choose one

A

quota is defined as:

- ▶ A restriction on exports.
- ▶ A unit tax imposed on a product.
- ▶ A limit on the quantity of a good that can be exported.
- ▶ **A limit on the quantity of a good that can be imported..**

Question No: 40 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the agriculture sector in low income countries?

➤ **The agricultural sector has been decreasing in size because its productive workers prefer to migrate to urban areas.**

▶ The agricultural sector is by far the largest producer and the most productive sector in low-income countries.

▶ Although the agricultural sector is the largest employer, labor's productivity in this sector is very low.

▶ The agricultural sector has been increasing in size and in terms of labor productivity as rural farmers increasingly start to mechanize.

Question No: 41 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

▶ Immigration of skilled workers into the nation.

▶ An increase in the size of the working-age population.

▶ **An decrease in the size of the working-age population.**

▶ Increased production of capital goods.

Question No: 42 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

▶ **10.**

▶ 20.

▶ 30.

▶ 40.

Question No: 43 (Marks: 1) - Please choose one

marginal revenue is Rs. 15,000 and marginal cost is Rs. 20,000. The firm should:

If

- ▶ Expand output.
- ▶ Do nothing without information about your fixed costs.
- ▶ Expand output until marginal revenue equals zero.
- **Reduce output until marginal revenue equals marginal cost.**

Question No: 44 (Marks: 1) - Please choose one

average annual income per head for all the inhabitants of the country is known as:

The

- ▶ Gross domestic product.
- ▶ Gross national product.
- ▶ Net national product.
- **Per capita income.**

Question No: 45 (Marks: 1) - Please choose one

Gross domestic product deflator can be obtained by dividing nominal gross domestic product with:

- **Real gross domestic product.**
- ▶ Gross national product.
- ▶ Net national product.
- ▶ Per capita income.

Question No: 46 (Marks: 1) - Please choose one

principle which states that a change in income causes a magnified change in investment is termed as the:

The

- ▶ None of the given.
- ▶ Paradox of thrift.
- ▶ Multiplier effect.
- **Accelerator effect.**

Question No: 47 (Marks: 1) - Please choose one

If

central bank increased the money supply, then what will be happen to IS curve?

- ▶ **IS curve will Shifts rightward.**
- ▶ IS curve will Shifts leftward.
- ▶ IS curve will remain unaffected.
- ▶ IS curve will become vertical.

Question No: 48 (Marks: 1) - Please choose one

The

value of world trade has increased -----over the period of 1930-2000.

- ▶ **20 fold**
- ▶ 10 fold
- ▶ 5 fold
- ▶ 14 fold

Question No: 49 (Marks: 3)

Write down the functions of commercial banks.

Question No: 50 (Marks: 3)

How

the growth rate of output is determined in the exogenous growth model?

Question No: 51 (Marks: 5)

Why

is taxation necessary? What are the principles of taxation?

Question No: 52 (Marks: 5)

Following figure shows the circular flow of goods and income in a two sector economy. Interpret all the points in this figure that how the household sector and business sector work in an economy to produce goods and services.

Question No: 53 (Marks: 5)

Explain the difference between current account and capital account.

6th paper

Spring 2010

ECO401- Economics (Session - 5)

Question No: 1 (Marks: 1) - Please choose one

_____ As
more of a good is consumed, then total utility typically:

- ▶ Increases at a decreasing rate.
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

Question No: 2 (Marks: 1) - Please choose one

_____ A
production function:

- ▶ Relates inputs with output.
- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ All of the given options.

Question No: 3 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase

in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ Economies of scale; constant returns to scale.
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 4 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ Fixed costs and variable costs.
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 5 (Marks: 1) - Please choose one

_____ As compared to existing firms, a new firm entering in monopolist market has:

- ▶ High costs.
- ▶ Low costs.
- ▶ Equal costs.
- ▶ None of the given options.

Question No: 6 (Marks: 1) - Please choose one

_____ The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ The market price.
- ▶ The first-degree price.

- ▶ The block price.

Question No: 7 (Marks: 1) - Please choose one

_____ The
market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ Oligopoly.
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 8 (Marks: 1) - Please choose one

_____ Price exceeds marginal revenue in which of the following market structure(s)?

- ▶ Differentiated oligopoly and monopoly only.
- ▶ Standardized oligopoly and pure competition only.
- ▶ Monopolistic competition and monopoly only.
- ▶ Monopolistic competition, oligopoly and monopoly.

Question No: 9 (Marks: 1) - Please choose one

_____ For
a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ Wage.
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

Question No: 10 (Marks: 1) - Please choose one

_____ Unlike the classical economists, Keynes believed that the economy could get stuck in the short run for a significant period of time because of:

- ▶ Insufficient aggregate supply.
- ▶ Insufficient aggregate demand.

- ▶ Quick self correcting mechanism.
- ▶ Government purchases of too many goods and services.

Question No: 11 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ Wages and prices are sticky in the short run.

Question No: 12 (Marks: 1) - Please choose one

_____ An
assumption of classical economics is:

- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Supply creates its own demand.
- ▶ Investment and saving are seldom equal.

Question No: 13 (Marks: 1) - Please choose one

_____ The
real interest rate will increase:

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ The capital account.
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Question No: 15 (Marks: 1) - Please choose one

Endogenous growth theory was developed in:

- ▶ 1980.
- ▶ 1965.
- ▶ 1970.
- ▶ 1950.

Question No: 16 (Marks: 1) - Please choose one

capita income is obtained by dividing national income by: _____ Per

- ▶ Total labor force in the country.
- ▶ Unemployed youth in the country.
- ▶ None of the given options.
- ▶ Total population of that country.

Question No: 17 (Marks: 1) - Please choose one

Which of the following is deducted from Gross National Product to get Net National Product?

- ▶ Indirect taxes.
- ▶ Depreciation.
- ▶ Direct taxes.
- ▶ Transfer payments.

Question No: 18 (Marks: 1) - Please choose one

_____ In
the Keynesian cross model, the 45-degree line has a slope of:

- ▶ 45.
- ▶ Infinity.
- ▶ 1.
- ▶ 0.

Question No: 19 (Marks: 1) - Please choose one

_____ The
principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 20 (Marks: 1) - Please choose one

_____ Those who hold the classical view of the labour market are likely to believe that:

- ▶ Monetary but not fiscal policy will have an effect on output and employment.
- ▶ Fiscal but not monetary policy will have an effect on output and employment.
- ▶ Both monetary and fiscal policy will have an effect on output and employment.
- ▶ Neither monetary nor fiscal policy will have an effect on output and employment.

Question No: 21 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

- ▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

► Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 22 (Marks: 1) - Please choose one

What will be the primary result of inflation in an economy?

- A rise in personal wealth.
- A rise in wages.
- A decline in prices.
- A decline in the value of money.

Question No: 23 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- A higher output level than before.
- The same output level as before.
- A lower output level than before.
- The Golden Rule output level.

Question No: 24 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- $1000+1500+2500 = \text{Rs. } 5000$
- $1000+500+2500 = \text{Rs. } 4000$
- $1000+500+1000 = \text{Rs. } 2500$
- $1000+1500+1000 = \text{Rs. } 3500$

Question No: 25 (Marks: 1) - Please choose one

Which of the following is NOT an item of public consumption?

- ▶ Expenditure on health.
- ▶ Expenditure on education.
- ▶ Expenditure on general administration.
- ▶ Expenditure for transfer payments.

Question No: 26 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
- II. Raw materials costs.
- III. Government spending.
- IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
- ▶ I and III only.
- ▶ I, III, and IV.
- ▶ III only.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ The labor force minus the number of people employed.

Question No: 28 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.

- ▶ That the price level is rising at an increasing rate.
- ▶ That the price level is rising at a variable rate.

Question No: 29 (Marks: 1) - Please choose one

_____ If
net exports are positive, this implies that the country has:

- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 30 (Marks: 1) - Please choose one

_____ The
rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ Higher standard of living.

Question No: 31 (Marks: 1) - Please choose one

_____ A
tax on the accounting profits of corporations is known as:

- ▶ Sales tax.
- ▶ Excise tax.
- ▶ Corporate income tax.
- ▶ Personal income tax.

Question No: 32 (Marks: 1) - Please choose one

_____ Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

- ▶ Medium of exchange.

- ▶ Unit of account.
- ▶ Standard of deferred payment.
- ▶ Store of value.

Question No: 33 (Marks: 1) - Please choose one

What will be the impact of an increase in the money supply?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the LM curve downward (to the right) and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.

Question No: 34 (Marks: 1) - Please choose one

IS curve shows the equilibrium in:

- ▶ Money Market.
- ▶ Goods Market.
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 35 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

- ▶ The balance of trade.
- ▶ The macroeconomic consequences of financial flows associated with international trade.
- ▶ International investment opportunities for American multinational corporations.
- ▶ The relationships among world currency dealers.

Question No: 36 (Marks: 1) - Please choose one

_____ In
which of the following conditions, a current account deficit exists?

- ▶ When net exports are positive.
- ▶ When financial flows out of a country for goods and services are less than financial flows into the country for its goods and services.
- ▶ When a country has a trade deficit.
- ▶ When an economy buys less from foreigners than it sells to them.

Question No: 37 (Marks: 1) - Please choose one

_____ Economists define economic growth as:

- ▶ Changes in real GDP from year to year that occur as aggregate demand and short-run aggregate supply change.
- ▶ An increase in the standard of living of a nation.
- ▶ An increase in nominal GDP combined with price stability.
- ▶ The process through which the economy's potential output is increased.

Question No: 38 (Marks: 1) - Please choose one

_____ What will be the impact if agriculture sector is neglected in the development process?

- ▶ It can lead to insufficient savings.
- ▶ It can lead to shortage of foreign exchange.
- ▶ It can lead to lower levels of production.
- ▶ All of the given conditions can happen.

Question No: 39 (Marks: 1) - Please choose one

_____ In
which of the following situations, a monopoly occurs?

- ▶ When each firm produces a product that is slightly different from the other firms.
- ▶ When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.

- ▶ When there are many firms producing the same product.
- ▶ In all of the given situations.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is not the property of production function?

- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ **Marginal product at all levels is increasing.**
- ▶ Relates inputs with output.

Question No: 41 (Marks: 1) - Please choose one

As long as all prices remain constant, a decrease in money income results in:

- ▶ An increase in the slope of the budget line
- ▶ **A decrease in the slope of the budget line**
- ▶ An increase in the intercept of the budget line
- ▶ A decrease in the intercept of the budget line

Question No: 42 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

- ▶ It shifts farther away from the origin of the graph.
- ▶ It shift inward.
- ▶ **It shifts outward.**
- ▶ None of the given options.

Question No: 43 (Marks: 1) - Please choose one

Monopoly profits can be invested in

- ▶ Advertisement.
- ▶ **Research and development.**

► Human resource development.

► Expansion of the market.

Question No: 44 (Marks: 1) - Please choose one

_____ The characteristics of a monopolistically competitive market are almost the same as in

► Monopoly.

► Oligopoly.

► Perfect competition.

► Duopoly.

Question No: 45 (Marks: 1) - Please choose one

_____ The multiplier is a related concept which formalizes the output response to:

► Saving.

► Investment.

► Taxes.

► Inflation.

Question No: 46 (Marks: 1) - Please choose one

_____ Factor income from abroad like worker remittances, dividends and interest has positive impact on:

► Current account balance.

► Capital account balance.

► Trade balance.

► Unemployment.

Question No: 47 (Marks: 1) - Please choose one

_____ Continuous technology progress is a necessary condition for the high rate of:

► Inflation reduction.

► Economic growth.

► Population growth.

► Employment.

Question No: 48 (Marks: 1) - Please choose one

Expansionary fiscal policy includes:

- Increasing taxes and increasing government purchases.
- Raising interest rates, increasing taxes, and decreasing transfer payments.
- Decreasing taxes and increasing government expenditures.
- Raising interest rates, decreasing taxes, and decreasing government spending.

Question No: 49 (Marks: 3)

Differentiate between real exchange rate and nominal exchange rate.

Question No: 50 (Marks: 3)

Discuss the basic functions of money.

Question No: 51 (Marks: 5)

What will be the impact of following factors on Marginal Propensity to Consume?

- Ⓐ A fall in the rate of income tax.
- Ⓑ People anticipate that the rate of inflation is about to rise.
- Ⓒ The government redistributes income from the rich to the poor.
- Ⓓ The government gives the subsidies.
- Ⓔ If the assets of the people increase.

(Marks: 1 for each)

Question No: 52 (Marks: 5)

Explain the difference between current account and capital account.

Question No: 53 (Marks: 5)

Assume that the reserve requirement ratio (rr) of United Bank Limited (UBL) is 15% and bank's initial deposit is \$2500.

- a. By using this information, make initial balance sheet of MCB.
- b. Calculate money multiplier.

(Marks: 3+2)

7th paper

Fall 2009

ECO401- Economics

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

_____ The
concave shape of the production possibilities curve for two goods X and Y illustrates:

- ☐ Increasing opportunity cost for both goods.
- ☐ Increasing opportunity cost for good X but not for good Y.
- ☐ Increasing opportunity cost for good Y but not for good X.
- ☐ Constant opportunity cost for both goods.

The shape of a production possibility curve commonly drawn as concave downward to represent increasing opportunity cost with increased output of a good.

Question No: 2 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ☐ A decrease in equilibrium price and an increase in quantity of meal.
- ☐ An increase in equilibrium price and quantity of meal.
- ☒ A decrease in equilibrium price and quantity of meal.
- ☐ An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 3 (Marks: 1) - Please choose one

A

demand curve is price elastic when:

- ☒ Changes in demand are proportionately greater than changes in price.
- ☐ Changes in demand are equal to changes in price.
- ☐ None of the given options.
- ☐ Changes in demand are proportionately smaller than changes in price.

For elastic demand curve, firm does not increase its prices. Because as prices increases, quantity Demanded decreases much larger. Decrease in quantity demanded is greater than the increase in prices. So firm will earn less revenue. So TR decreases as price increases.

Question No: 4 (Marks: 1) - Please choose one

The

numerical measurement of a consumer's preference is called:

- ☐ Use.
- ☐ Pleasure.
- ☒ Utility.
- ☐ Satisfaction.

Utility is a numerical representation of a preference ranking

Question No: 5 (Marks: 1) - Please choose one

Which of the following is TRUE about price-consumption curve for good X?

- ☐ Nominal income falls as the price of X falls.
- ☐ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ☐ It is always downward sloping for a normal good.
- ☒ It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

The price consumption curve (PCC) traces out the optimal choice of consumption at different prices. The PCC can be used to derive the demand curve, which shows the relationship between price & quantity demanded.

Question No: 6 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ☒ Marginal revenue minus marginal cost.
- ☐ Marginal revenue plus marginal cost.
- ☐ Marginal cost minus marginal revenue.
- ☐ Marginal revenue times marginal cost.

marginal profit is the term used to refer to total when marginal cost is subtracted from marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

supply curve for a competitive firm is:

- ☐ Its entire marginal cost curve.
- ☐ The upward-sloping portion of its marginal cost curve.
- ☐ Its marginal cost curve above the minimum point of the average variable cost curve.
- ☒ Its marginal cost curve above the minimum point of the average total cost curve.

The

Collected By “Anonymous”

A perfectly competitive firm's supply curve is that portion of its marginal cost curve that lies above the minimum of the average variable cost curve.

Question No: 8 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

- ☐ The reservation price to each customer.
- ☒ Different prices for different blocks of the same good or service.
- ☐ Different groups of customers different prices for the same products.
- ☐ Each customer the maximum price that he or she is willing to pay.

Second degree price discrimination, allows the supplier to set different prices to the different groups and capture a larger portion of the total market surplus.

Question No: 9 (Marks: 1) - Please choose one

market with few entry barriers and with many firms that sell differentiated products is:

A

- ☐ Purely competitive.
- ☐ A monopoly.
- ☒ Monopolistically competitive.
- ☐ Oligopolistic.

Monopolistic competition is also characterized by a large number of buyers and sellers and absence of entry barriers.

Question No: 10 (Marks: 1) - Please choose one

market structure in which strategic considerations are most important is:

The

☐ Monopolistic competition.

☒ **Oligopoly.**

☐ Pure competition.

☐ Pure monopoly.

Question No: 11 (Marks: 1) - Please choose one

_____ The
price elasticity of demand for any good must be less than or equal to zero unless:

☐ The good is a necessity.

A good for which the "income elasticity of demand" is >0 & <1

☐ The good is a luxury.

A good for which the "income elasticity of demand" is > 1 .

☒ **The good is a Giffen good.**

☐ None of the given options.

Goods for which the "quantity demanded" of one good does not depend upon the price of the other. (i.e. Pencils & cars). The "cross elasticity of demand" will be 0.

Question No: 12 (Marks: 1) - Please choose one

_____ Consumption spending, investment expenditures, government expenditures and net exports are:

☐ The components of household income.

☐ The components of aggregate supply.

☒ **The components of aggregate demand**

☐ The components of government revenue.

AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

Question No: 13 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ☐ Monetarism.
- ☐ Rational expectations.
- ☒ Keynesian economics.
- ☐ Neoclassical economics.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

- ☐ Minimum wages.
- ☒ Flexible wages and prices.
- ☐ Extended periods of unemployment.
- ☐ Inequality between saving and investment.

Question No: 15 (Marks: 1) - Please choose one

The real interest rate will increase:

- ☒ If there is an excess supply of loanable funds in the financial markets.
- ☐ If there is an excess demand for loanable funds in the financial markets.
- ☐ If there is an excess supply of loanable funds in the foreign exchange markets.
- ☐ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 16 (Marks: 1) - Please choose one

A source of fluctuations in investment spending is:

- ☐ Changes in government expectations of future output growth.
- ☐ Changes in household's expectations about future output growth.
- ☐ Changes in household's expectations about future risk.

☒ Changes in investor's expectations about future profits.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ☐ An increase in official international reserves.
- ☐ A positive statistical discrepancy.
- ☐ A negative statistical discrepancy.
- ☒ A decline in official international reserves.

Question No: 18 (Marks: 1) - Please choose one

M1

component of money supply consists of:

- ☐ Paper currency and coins.
- ☒ Paper currency, coins and check writing deposits.
- ☐ Paper currency, coins, check writing deposits and savings deposits.
- ☐ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

M1 includes currency held by the public, plus travelers' checks, demand deposits, other checkable deposits (including negotiable order of withdrawal (NOW) accounts, Automatic Transfer Service (ATS) accounts, and credit union share draft accounts).

Question No: 19 (Marks: 1) - Please choose one

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

- ☐ Comparative advantage.
- ☐ Comparative disadvantage.
- ☒ Absolute advantage.
- ☐ Absolute disadvantage.

Absolute advantage.: Capability of one producer to produce a given good using fewer resources than any other producer.

Question No: 20 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ☐ An increase in the price of imported computers.
- ☐ A fall in the purchasing power of US tourists in London.
- ☒ **A fall in the price of imported computers.**
- ☐ An increase in the purchasing power of UK tourists overseas.

A currency is said to depreciate in value if its exchange rate decreases, such as a decrease in the exchange rate of dollars from 0.5 pounds per dollar to 0.33 pounds per dollar. Currency depreciation makes exports from the country relatively less expensive resulting in more exports and usually fewer imports.

Question No: 21 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ☐ The dollar can now purchase more yen.
- ☐ The US trade balance with the Japanese economy has improved.
- ☒ **The yen can now purchase more dollars.**
- ☐ The dollar has depreciated relative to the yen.

The exchange rate increases (i.e., a unit of your currency is worth more in foreign currency than previously), the currency is said to have *strengthened, appreciated, or increased in value* (revaluation). For example, assume that the exchange rate between the U.S. dollar and the Japanese yen changed from US\$1=104 yen to US\$1=110 yen. This would strengthen the value of the U.S. dollar in that you would receive more yen in exchange for your dollar

Question No: 22 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ☐ The price level rises.
- ☐ Inventories decrease.
- ☐ Employment decreases.
- ☒ **Aggregate output increases.**

Question No: 23 (Marks: 1) - Please choose one

_____ In
the Keynesian cross model, the aggregate expenditure line has a slope of:

- ☐ 1.
- ☐ 0.
- ☐ Infinity.
- ☒ Less than 1.

In the Keynesian cross model If we draw a graph with expenditure on the vertical axis, we can see that the Expenditure line should have a slope of (<1),

Question No: 24 (Marks: 1) - Please choose one

_____ Demand is elastic when the elasticity of demand is:

- ☐ Greater than 0 but less than 1.
- ☒ Greater than 1.
- ☐ Less than 0.
- ☐ Equal to 1. unit elastic

If $Ped > 1$, then demand responds more than proportionately to a change in price i.e. demand is elastic.

Question No: 25 (Marks: 1) - Please choose one

_____ Which of the following statements is TRUE about cartels?

- ☐ These are considered as part of monopolistic competition.
- ☐ these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ☒ these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ☐ These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 26 (Marks: 1) - Please choose one

After the collusion, oligopolists are able to:

- ☐ Raise price but not restrict output.
- ☐ Raise price and restrict output but not attain the monopoly profit.
- ☒ **Raise price and restrict output and therefore attain the monopoly profit.**
- ☐ Restrict output but not raise price.

Question No: 27 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

- ☐ Real GDP includes only goods; nominal GDP includes goods and services.
- ☒ **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- ☐ Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- ☐ Real GDP is equal to nominal GDP multiplied by the CPI.

Nominal GDP: The total market value, measured in current prices,

Real GDP: The total market value, measured in constant prices

Question No: 28 (Marks: 1) - Please choose one

If production remains the same and all prices double, then which of the following will happen?

- ☐ Real GDP and nominal GDP will both remain constant.
- ☐ Real GDP will remain constant and nominal GDP will reduce by half.
- ☒ **Real GDP will remain constant and nominal GDP will double.**
- ☐ Real GDP will double and nominal GDP will remain constant.

Question No: 29 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to consume (MPC) is 0.9, then the value of multiplier will be equal to:

- ☐ 2.
- ☐ 5.
- ☐ 8.
- ☐ 10.

Question No: 30 (Marks: 1) - Please choose one

_____ Firm
A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ☒ **1000+1500+2500 = Rs. 5000**
- ☐ 1000+500+2500 = Rs. 4000
- ☐ 1000+500+1000 = Rs. 2500
- ☐ 1000+1500+1000 =Rs. 3500

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a transfer payment?

- ☐ Payment made to housewife.
- ☐ Pocket allowance to children.
- ☐ Maintenance allowance to old parents.
- ☒ **All of the given options.**

Question No: 32 (Marks: 1) - Please choose one

_____ The
relationship between hours provided by labor and wage rate is:

- ☒ **Positive.**
- ☐ Negative.

☐ Ambiguous.

☐ Very strong.

Question No: 33 (Marks: 1) - Please choose one

Market failure occurs when:

☐ Competitive markets do not achieve equitable outcomes.

☐ Competitive markets do not achieve efficient outcomes.

☐ Government takes steps to intervene in markets.

☒ **All of the given happen.**

Question No: 34 (Marks: 1) - Please choose one

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

☒ **Aggregate demand curve.**

☐ Average price level.

☐ Circular flow model.

☐ GDP curve.

The aggregate demand curve illustrates the relationship between economic goods demanded and the price level, assuming all else is held constant (that is, under *ceteris paribus* assumption).

Question No: 35 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

☐ The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.

☐ The short-run aggregate supply and the long-run aggregate supply curves.

☐ The aggregate demand and the short-run aggregate supply curves.

☐ The aggregate demand and the long-run aggregate supply curves.

Question No: 36 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- ☐ V. Wages.
 - ☐ VI. Raw materials costs.
 - ☒ VII. Government spending.
 - ☐ VIII. Government regulations that increase the cost of doing business.
- ☐ I, II, III, and IV.
- ☐ I and III only.
- ☐ I, III, and IV.
- ☒ III only.

Question No: 37 (Marks: 1) - Please choose one

In the long run, the output level is determined by:

- ☐ Aggregate demand.
- ☒ Aggregate supply.
- ☐ The government.
- ☐ Household income.

Long run aggregate supply (LRAS): LRAS shows total planned output when both prices and average wage rates can change - it is a measure of a country's potential output and the concept is linked strongly to that of the **production possibility frontier**

Question No: 38 (Marks: 1) - Please choose one

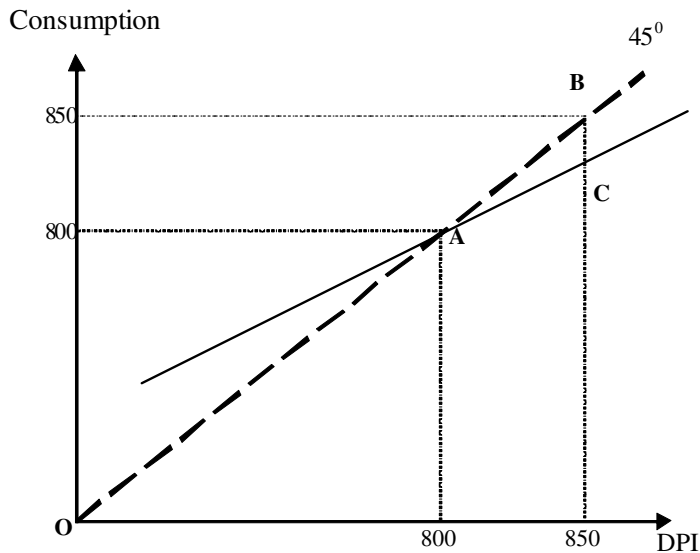
Which of the following is TRUE?

- ☒ $1 - MPS = MPC$
- ☐ $1 + MPS = MPC$
- ☐ $1 / MPS = MPC$
- ☐ $1 \times MPS = MPC$

(MPS) is the fraction of the additional dollar of disposable income that is

Saved. Thus, $MPC = 1 - MPS$.

Question No: 39 (Marks: 1) - Please choose one



The above figure shows disposable personal income on the horizontal axis and consumption per period on the vertical axis. Which of the following is TRUE at every point on the 45-degree line?

- ☐ The value of disposable income equals the sum of personal saving and consumption.
- ☐ The value of disposable income equals consumption.
- ☐ The value of disposable income equals personal saving.
- ☐ The value of disposable income and consumption equals 1.

Question No: 40 (Marks: 1) - Please choose one

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

- ☐ Reduce the real value of income tax free allowances.
- ☐ Reduce government spending on capital projects.
- ☐ Raise Value Added Tax (VAT).
- ☒ Start public job training programs.

Question No: 41 (Marks: 1) - Please choose one

_____ In
the long run, sustained inflation is due to:

- ☐ A one-time increase in money growth.
- ☒ **A continuous increase in the money growth rate.**
- ☐ A continuous increase in aggregate demand.
- ☐ The rising price of oil.

Question No: 42 (Marks: 1) - Please choose one

_____ The
situation when a country imports more than it exports is known as:

- ☒ **A trade deficit.**
- ☐ A trade surplus.
- ☐ An expansion.
- ☐ A recession.

A negative balance of trade, i.e. imports exceed exports. opposite of trade surplus

Question No: 43 (Marks: 1) - Please choose one

_____ Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ☐ Consumption.
- ☐ Gross private investment.
- ☒ **Government purchases.**
- ☐ Public investment.

Question No: 44 (Marks: 1) - Please choose one

_____ The
government has a balanced budget if:

- ☒ **Its total revenues are equal to its total expenditures.**

- ☐ Its total revenues are less than its total expenditures.
- ☐ Its total revenues are greater than its total expenditures.
- ☐ The money supply is less than total expenditures.

Question No: 45 (Marks: 1) - Please choose one

_____ In
general, personal income taxes:

- ☐ Rise automatically during a recession.
- ☒ **Rise automatically during an expansion. Not sure**
- ☐ Fall automatically during an expansion.
- ☐ Remains same in all phases of economic fluctuations.

Question No: 46 (Marks: 1) - Please choose one

_____ A
tax on individual's income is known as:

- ☐ Sales tax.
- ☐ Excise tax
- ☐ Corporate income tax.
- ☒ **Personal income tax.**

Personal income tax: A tax on individual income. This is the primary source

of revenue for the federal government, a big source for many state and local governments. In principle, personal income taxes are progressive, based on a graduated tax scale. However, it's much more proportional today than it was several decades ago.

Question No: 47 (Marks: 1) - Please choose one

_____ **Which of the following is TRUE for banks?**

- ☒ **They deal with money only.**
- ☐ They deal with shares and assets.
- ☐ They not only deal with money but also create money.

☐ They deal with money but do not create money.

Question No: 48 (Marks: 1) - Please choose one

_____ In a
period of boom, credit creation is:

☐ Small.

☒ Heavy.

☐ Unchanged.

☐ Zero.

Question No: 49 (Marks: 1) - Please choose one

_____ What will be the impact of an increase in taxes?

☐ It will shift the IS curve to the left and decrease both the interest rate and the level of income.

☐ It will shift the IS curve to the right and increase both the interest rate and the level of income.

☐ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.

☒ It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate. Not sure

Question No: 50 (Marks: 1) - Please choose one

_____ To
determine whether an economy's output is growing or shrinking, one must keep track of:

☐ Changes in nominal GDP.

☐ Changes in the growth rate of nominal GDP.

☐ Changes in the general price level.

☒ Changes in real GDP.

Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.).

Question No: 51 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

☒ The demand curve for airline travel shifts left.

☐ The demand curve for airline travel shifts right.

☐ The supply curve of airline travel shifts left.

☐ The supply curve of airline travel shifts right.

The demand curve shifts left. Rail and airline travel are substitutes. If the price of a substitute declines, then the demand curve for the substitute product shifts to the left.

Question No: 52 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

☐ A reduction in unemployment.

☒ An increase in the production of capital goods.

☐ A reduction in discrimination.

☐ All of the given options.

Question No: 53 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

☐ Consumers know their preferences.

☐ Consumers know their income levels.

☐ Consumers know the prices available.

☒ Consumers can anticipate price changes.

Question No: 54 (Marks: 1) - Please choose one

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

☒ Negative.

☐ Positive.

☐ Zero.

☐ Indeterminate from the given information.

As profit is maximized at the point where $MR = MC$,

Depending upon the level of AC at the point where $MR=MC$, the monopolist might be earn supernormal profits, breaking even or minimizing short run losses.

Question No: 55 (Marks: 3)

Differentiate between the terms flow and stock.

Stocks and those which are flows; these differ in their units of measurement. A stock variable is measured at one specific time, and represents a quantity existing at that point in time, which may have been accumulated in the past. A flow variable is measured over an interval of time. Therefore a flow would be measured per unit of time.

Stocks and flows have different units and are thus not commensurable – they cannot be meaningfully compared, equated, added, or subtracted. However, one may meaningfully take ratios of stocks and flows, or multiply or divide them.

Question No: 56 (Marks: 5)

What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.

Question No: 57 (Marks: 5)

Explain the difference between current account and capital account.

Current account :

Current account is one of the two primary components of the balance of payments, the other being the capital account. It is the sum of the balance of trade (exports minus imports of goods and services).

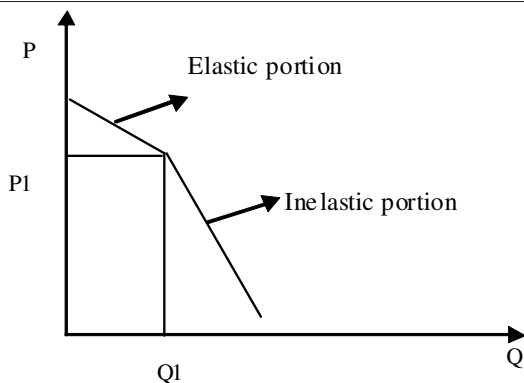
Current account = balance of trade + net factor income from abroad + net unilateral transfers from abroad

Current account deals with international trade in goods and services and with earnings on investments.

Capital account:

The capital account consists of capital transfers and the acquisition and disposal of non-produced, non-financial assets. A subdivision of the capital account, the financial account records transfers of financial capital and non-financial capital. The official reserves account, which is part of the financial account, is the foreign currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

Question No: 58 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

Question No: 59 (Marks: 10)

_____ The items of balance sheet of State Bank of Pakistan are given as follows:

Forex reserves = Rs. 500

Notes and coins = Rs. 800

Credit to government = Rs. 200

Government and commercial bank deposits = Rs. 300

Credit to private sector = Rs. 700

Liquidity paper = Rs. 300

1st Jan
2013

Collected By "Anonymous"

Prepare the balance sheet in its proper format of asset and liabilities side. Also calculate total assets and total liabilities.

Solution: (this question solved by kash again)

Assets	Liabilities
Forex reserves = Rs. 500	Government and commercial bank deposits = Rs. 300
Credit to government = Rs. 200	Notes and coins = Rs. 800
Credit to private sector = Rs. 700	Liquidity paper = Rs. 300
Total= RS 1400	Total= RS 1400

8th paper

Fall 2009

ECO401- Economics (Session - 2)

Ref No:

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

_____ A
good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ **An increase in total revenue received by the course.**
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ The consumer would not spend any additional income to buy more of that good.
- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ **Total utility is also zero.**

Question No: 5 (Marks: 1) - Please choose one

_____ An individual with a constant marginal utility of income will be:

- ▶ Risk loving.
- ▶ **Risk neutral.**
- ▶ Risk averse.
- ▶ Insufficient information for a decision.

Question No: 6 (Marks: 1) - Please choose one

_____ At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

_____ If at the profit-maximizing quantity, profits are positive, then:

- ▶ **Price < Average Total Cost.**
- ▶ Price > Average Total Cost.
- ▶ Price < Average Variable Cost.
- ▶ Price = Marginal Cost.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ **The demand curve is tangent to marginal cost curve.**
- ▶ The demand curve is tangent to average cost curve.
- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 9 (Marks: 1) - Please choose one

_____ If
income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 10 (Marks: 1) - Please choose one

_____ **Welfare economics is the branch of economics which deals with:**

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 11 (Marks: 1) - Please choose one

_____ For
a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ **Wage.**
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

Question No: 12 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

- ▶ The amount of factors of production (such as labor and capital) increases.
- ▶ The amount of factors of production (such as labor and capital) decreases.
- ▶ **Prices of inputs (such as wages or oil prices) increase.**
- ▶ Prices of inputs (such as wages or oil prices) decrease.

Question No: 13 (Marks: 1) - Please choose one

During periods of high unemployment, the preferred policy of Keynesian economics is:

- ▶ A recessionary gap.
- ▶ **Expansionary fiscal policy.**
- ▶ Contractionary monetary policy.
- ▶ Waiting for self-correction to work.

Question No: 14 (Marks: 1) - Please choose one

Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 15 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.
- ▶ The real exchange rate.
- ▶ **All of the given options.**

Question No: 16 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ **An increase in official international reserves.**
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ A decline in official international reserves.

Question No: 17 (Marks: 1) - Please choose one

Which of the following may cause an increase in national income?

- ▶ **Rise in exports.**
- ▶ Rise in imports.
- ▶ Fall in consumer spending.
- ▶ Increase in saving.

Question No: 18 (Marks: 1) - Please choose one

The principle which states that a change in investment causes a magnified change in income is termed as the:

- ▶ Water paradox.
- ▶ Paradox of thrift.
- ▶ **Accelerator effect.**
- ▶ Multiplier effect.

Question No: 19 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- ▶ Greater than 0 but less than 1.
- ▶ **Greater than 1.**
- ▶ Less than 0.

- ▶ Equal to 1.

Question No: 20 (Marks: 1) - Please choose one

_____ For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 21 (Marks: 1) - Please choose one

_____ Which of the following is required to make the equation of exchange in the quantity theory of money?

- ▶ **V and Q are assumed to be constant.**
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 22 (Marks: 1) - Please choose one

_____ What will be the impact of a decrease in the money supply in an economy?

- ▶ Interest rate increases, investment and GDP reduce.
- ▶ Interest rate increases, investment increases and GDP reduce.
- ▶ Interest rate reduces, investment and GDP increase.
- ▶ **Interest rate reduces, investment and GDP reduce.**

Question No: 23 (Marks: 1) - Please choose one

_____ A growing country is one with:

- ▶ **Rising GNP at constant prices.**

- ▶ Rising GNP at current prices.
- ▶ Constant GNP at constant prices.
- ▶ None of the given options.

Question No: 24 (Marks: 1) - Please choose one

According to Classical economists, macroeconomic equilibrium will occur in an economy if:

- ▶ Savings = Investment
- ▶ Government spending = Taxes
- ▶ Exports = Imports
- ▶ **All of the given conditions hold.**

Question No: 25 (Marks: 1) - Please choose one

The process of converting a stream of future incomes and expenses into a present value is known as:

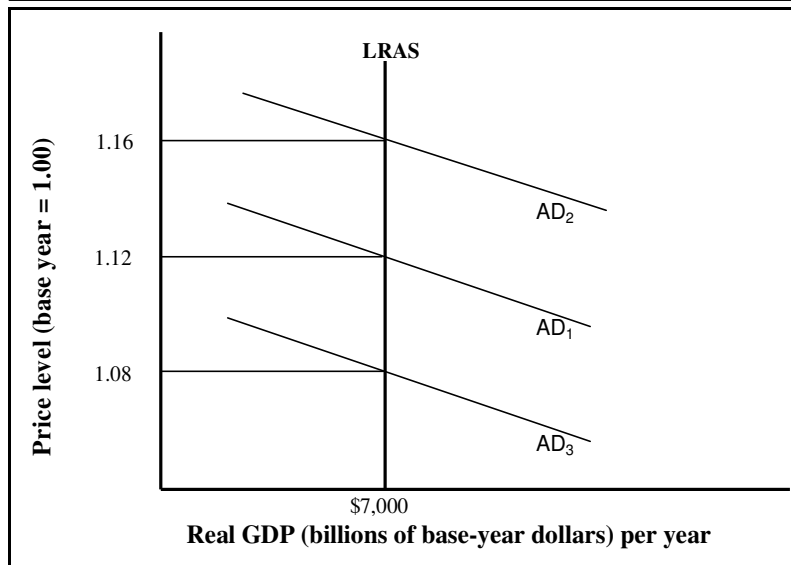
- ▶ **Discounting.**
- ▶ Compounding.
- ▶ Hyperbolic discounting.
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is the best example of a public good?

- ▶ A cup of coffee.
- ▶ A monthly magazine.
- ▶ A haircut.
- ▶ **An interstate highway.**

Question No: 27 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ **All of the given options.**

Question No: 28 (Marks: 1) - Please choose one

The

Keynesian revolution in macroeconomics was that:

- ▶ Capitalist economies were self-correcting.
- ▶ A gold standard was not necessary to control inflation.
- ▶ Unemployment can be viewed as being voluntary.
- ▶ **Government has a role in maintaining full employment.**

Question No: 29 (Marks: 1) - Please choose one

The

natural rate of unemployment is likely to fall if:

- ▶ Unemployment benefits increase.
- ▶ Income tax increases.

► More training is available for the unemployed.

► Geographical immobility increases.

Question No: 30 (Marks: 1) - Please choose one

_____ The relationship between inflation and unemployment is usually that:

► Unemployment changes do not directly lead to changes in inflation, but inflation changes may cause changes in unemployment.

► As unemployment falls, nothing happens to inflation.

► As unemployment falls, inflation falls.

► As unemployment falls, inflation increases.

Question No: 31 (Marks: 1) - Please choose one

When agents base their decisions on their expectations about inflation, it is known as:

► Quantity theory of money.

► Money illusion.

► Demand pull inflation.

► Cost push inflation.

Question No: 32 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ \$0.
- ▶ **\$20.**

Question No: 33 (Marks: 1) - Please choose one

Economic growth occurs when there is an increase in:

- ▶ Wage rates.
- ▶ The inflation rate.
- ▶ **Aggregate demand.**
- ▶ The productive capacity of an economy.

Question No: 34 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.
- ▶ Foreign aid.
- ▶ Domestic savings.
- ▶ **Inflation.**

Question No: 35 (Marks: 1) - Please choose one

Which of the following determines a country's rate of growth?

- ▶ **The average propensity to save.**
- ▶ The interaction of supply and demand.
- ▶ The law of comparative costs.
- ▶ The rate of capital accumulation.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

- ▶ Improved rate of capital formation.
- ▶ **Increase in money supply.**
- ▶ Increase in investment in education and training.
- ▶ Rapid technical progress.

Question No: 37 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

- ▶ Output per worker will grow more rapidly than before.
- ▶ The level of output per worker will be higher than before.
- ▶ The amount of capital per worker will be the same as before.
- ▶ **All of the given options.**

Question No: 38 (Marks: 1) - Please choose one

_____ The rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ **Higher standard of living.**

Question No: 39 (Marks: 1) - Please choose one

_____ A tax in which people pay the same percentage of income in taxes regardless of their incomes is called:

- ▶ Value-added tax.
- ▶ Regressive tax.
- ▶ **Proportional tax.**
- ▶ Progressive tax.

Question No: 40 (Marks: 1) - Please choose one

_____ The
taxes on alcohol, tobacco, and gasoline are categorized as:

- ▶ Sales tax.
- ▶ **Excise tax.**
- ▶ Corporate income tax.
- ▶ Personal income tax.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
- II. Cash in your hand.
- III. Checking deposits.
- ▶ **I and III.**

- ▶ II and III.
- ▶ I only.
- ▶ II only.

Question No: 42 (Marks: 1) - Please choose one

Which of the following is TRUE about credit cards?

- ▶ It is not money.
- ▶ It is not money, because they can't be used to purchase goods and services.
- ▶ It is considered to be money.
- ▶ **It is counted as a part of M2 but not M1.**

Question No: 43 (Marks: 1) - Please choose one

_____ In a
period of recession, credit creation is:

- ▶ **Small.**
- ▶ Heavy.
- ▶ Unchanged.

- ▶ Zero.

Question No: 44 (Marks: 1) - Please choose one

_____ In a
period of boom, credit creation is:

- ▶ Small.
- ▶ **Heavy.**
- ▶ Unchanged.
- ▶ Zero.

Question No: 45 (Marks: 1) - Please choose one

_____ International finance is the study of economics that deals with:

- ▶ **The balance of trade.**
- ▶ The macroeconomic consequences of financial flows associated with international trade.
- ▶ International investment opportunities for American multinational corporations.
- ▶ The relationships among world currency dealers.

Question No: 46 (Marks: 1) - Please choose one

_____ Which of the following is a characteristic of low income countries?

- ▶ **Higher rates of population growth.**
- ▶ Greater government control.
- ▶ A larger share of income used for investment.
- ▶ A smaller proportion of the labor force in agriculture.

Question No: 47 (Marks: 1) - Please choose one

_____ Which of the following is TRUE about low income countries?

- ▶ Their production level is low.
- ▶ **All of the given are true.**
- ▶ Their savings are low.

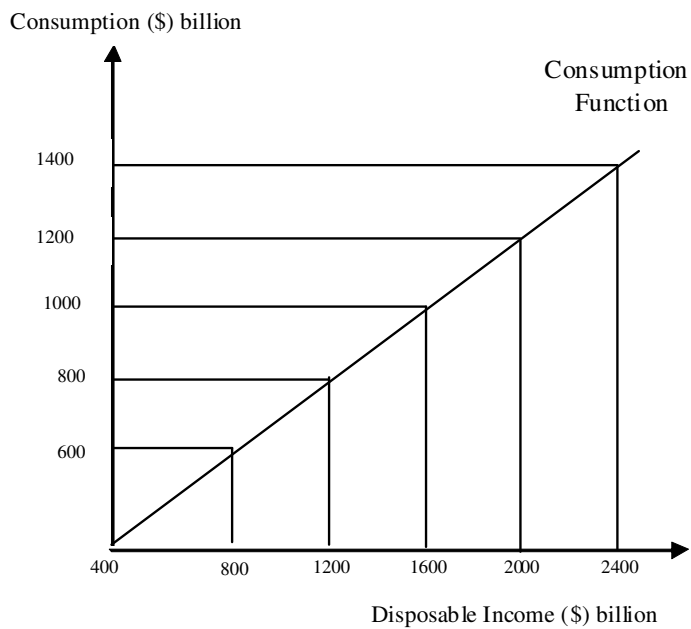
- ▶ Their investment level is low.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ▶ Higher per capita income.
- ▶ **Vicious circle of poverty.**
- ▶ High level of investment.
- ▶ High rates of savings.

Question No: 49 (Marks: 1) - Please choose one



Refer to the above figure, the marginal propensity to consume is:

- ▶ 0.25.
- ▶ **0.50.**
- ▶ 0.60.
- ▶ 0.67.

Question No: 50 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

- ▶ **The demand curve for computers shifts to the right.**
- ▶ The demand curve for computers shifts to the left.
- ▶ The supply curve for computers shifts to the right.
- ▶ The supply curve for computers shifts to the left.

Question No: 51 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ **A decrease in the size of the working-age population.**
- ▶ Increased production of capital goods.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

- ▶ **It will cause domestic producers competing with the imports to face huge losses.**
- ▶ It will cause the supply curve to shift to the left.
- ▶ It will cause the supply curve to shift to the right.
- ▶ It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

- ▶ **The assumption of a diminishing marginal rate of substitution will be violated.**
- ▶ The assumption of transitivity will be violated.
- ▶ The assumption of completeness will be violated.
- ▶ Consumers will minimize their satisfaction.

Question No: 54 (Marks: 1) - Please choose one

When there are diminishing returns holding at least one factor constant then:

- ▶ The marginal product of a factor is positive and rising.
- ▶ The marginal product of a factor is positive but falling.
- ▶ The marginal product of a factor is falling and negative.
- ▶ **The marginal product of a factor is constant.**

Question No: 55 (Marks: 3)

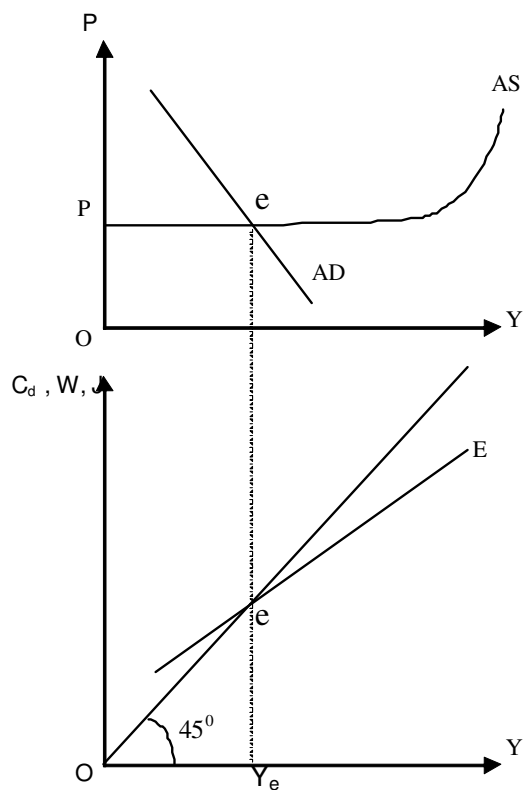
According to Keynesian school of thought, what should be the role of government in order to bring the economy out of depression?

Answer No: 55

Keynes introduced demand-pull theory which emphasizes strongly the intervention of government into economy.

According to him economy may be boosted up by increasing expenditure. In the initial stage government can inject money in the form of investment and higher wage rate to the government employees. This will create higher demand which in return result in more investment by firms.

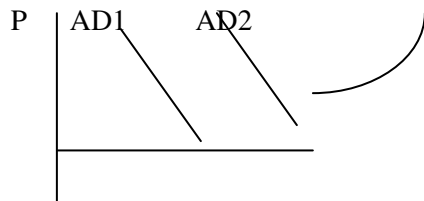
Question No: 56 (Marks: 5)

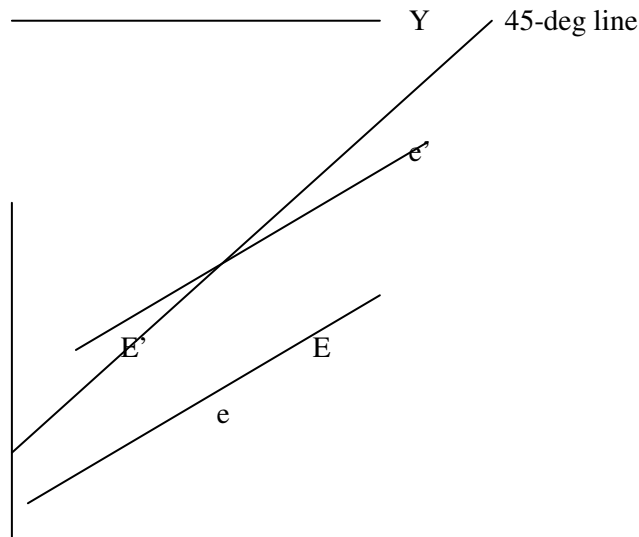


In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

- a) If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.

Answer No: 56 (a)





It will cause more short run demand in the economy and "e" will move to the right in P-Y space.

It will increase the consumption part of injection as well and "e" will move upward and right in W.J-Y space.

AD curve will move to right in P-Y space resulting increasing short run output "Y".

b) Is there any multiplier effect? How it works in this case?

Answer No:56 (b)

Yes, multiplier effect exists there.

Keynes multiplier $1/mps$ is the variable which determines the injection level to create an hypothetical desired output.

(Marks: 3+2)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Answer No: 57

These are also called IMF's Stabilization Policies. These were concluded from neoclassical economics, known since 1990.

Collected By “Anonymous”

The objective of IMF was to ensure both through internal balance (supply=demand, i.e. low inflation, full employment) and

external balance (sustainable BOP and external debt position).

The approach was “stabilization” through “demand” management.

There are three tools of this policy as follows!

- Tight Monetary Policy
- Tight Fiscal Policy
- Devaluation

IMF Policies effected LIC's badly. There was a very high criticism on above said policies. The main points of criticism were as follows!

- **Short-term policy conflicts**
- **Devaluation** could raise prices of imports.
- **Demand-reduction policies** are anti-growth: increased taxation can stifle the productive sector.
- **Stabilization hurts the poor** expenditure cuts almost always fall partly on the social sectors.

Question No: 58 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.

Answer No: 58 (a)

$$MV = PQ$$

$$100 \times V = 3 \times 200$$

$$V = 600 / 100$$

$$V = 6$$

b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.

Answer No: 58 (b)

$$MV = PQ$$

$$M \times 4 = 5 \times 100$$

$$M = 500 / 4$$

$$M = 125$$

Collected By “Anonymous”

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

Answer No: 58 (c)

$$MV = PQ$$

$$200 \times 7 = P \times 700$$

$$P = 1400 / 700$$

$$P = 2$$

d) Money supply (M) = 150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

Answer No: 58 (d)

$$MV = PQ$$

$$150 \times 8 = 3 \times Q$$

$$Q = 1200 / 3$$

$$Q = 400$$

(Marks: 2.5 each)

Question No: 59 (Marks: 10)

International monetary fund (IMF) suggests policies of stabilization “through demand management” to reduce poverty from developing countries. Discuss those policies. Were these policies successful? If not, give reasons.

Collected By "Anonymous"

9th paper

Spring 2009

ECO401- Economics (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ **Consumer preferences.**
- ▶ The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 3 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**
- ▶ There is a surplus of the product.

- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

- ▶ As the price increases, consumers demand less.
- ▶ **As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.**
- ▶ None of the given options.
- ▶ As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

- ▶ **The supply curve shifts to the right.**
- ▶ Output increases regardless of the market price and the supply curve shifts upward.
- ▶ Output decreases and the market price also decrease.
- ▶ The supply curve shifts to the left.

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

solution= $Ped = \frac{\% \text{ change in } Q \text{ demand}}{\% \text{ change in } Q \text{ Price}} = \frac{10\%}{12\%} = 0.5$ where
 $e > 1$ elastic

$e < 1$ inelastic

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ **Inelastic.**

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from \$15 to \$17 and quantity demanded decreases by 20%. We can conclude:

- ▶ Demand is unitary elastic.
- ▶ Demand is elastic.
- ▶ The elasticity of demand is 2.
- ▶ **Total revenue will decrease.**

Question No: 8 (Marks: 1) - Please choose one

"Utility" is most closely related to the term:

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ **Satisfaction.**

Question No: 9 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ **The consumer would not spend any additional income to buy more of that good.**

- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

- ▶ **An inferior good.**
- ▶ A substitute good.
- ▶ An independent good.
- ▶ A normal good.

Question No: 11 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ▶ Decreasing marginal costs.
- ▶ **Increasing marginal costs.**
- ▶ Decreasing average variable costs.
- ▶ Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.

► **Isocost.**

Question No: 13 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- Output is being produced at minimum cost.
- Output is not being produced at minimum cost.
- The two products are being produced at the medium input cost to the firm.
- The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

► **A fixed cost.**

- A variable cost.
- An implicit cost.
- An opportunity cost.

Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

- Has perfect substitutes.
- Has no substitutes at all.
- **Has no close substitutes.**
- Can be easily duplicated.

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

- ▶ Cournot model.
- ▶ Cobweb model.
- ▶ Dominant firm model.
- ▶ **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

- ▶ Each firm considers its rival's output to be fixed.
- ▶ Each firm considers its rival's price to be fixed.
- ▶ **Each firm believes rival will match all price changes.**
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT conducive to the successful operation of a cartel?

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.

► **Cartel members have substantial cost advantages over non-member producers.**

► The supply of non-cartel members is very price elastic.

Question No: 20 (Marks: 1) - Please choose one

Cartels are:

► **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**

► Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.

► Organizations of independent firms, producing different products, that work together to raise prices and restrict output.

► Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

► Upward sloping due to the law of demand.

► Upward sloping due to the law of marginal utility.

► **Downward sloping due to the law of diminishing returns.**

► Downward sloping due to the law of supply.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

► **Has self-correcting mechanisms. (no sure)**

► Can only be graphed with a horizontal curve.

- ▶ Never needs correction.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production (such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 24 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 25 (Marks: 1) - Please choose one

The economic analysis most closely related to Say's Law is:

- ▶ Short-run aggregate market.
- ▶ Production possibilities.
- ▶ Imperfect competition.

- ▶ Circular flow.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- **The classical dichotomy / monetarily neutrality effects.**
- ▶ The interest-rate effect.

Question No: 27 (Marks: 1) - Please choose one

The upward-sloping aggregate supply curve indicates that:

▶ **As firms increase their level of output, the cost of producing an extra unit increases.**

- ▶ An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.
- ▶ Any increase in aggregate demand causes the output of producers to fall because the general price level rises.
- ▶ None of the given options.

Question No: 28 (Marks: 1) - Please choose one

An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

- **Keynesian economists actively promote the use of fiscal policy while the classical economists do not.**
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
- ▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 29 (Marks: 1) - Please choose one

According to classical economists, the:

► **Aggregate demand curve is vertical and the aggregate supply curve is vertical.**

- Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.
- Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.
- Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 30 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

► **Three.**

- Four.
- Five.
- Six.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- The value of the house in which you live.
- The balance in your savings account.
- **Your monthly consumption on food items.**
- The number of carrots in your refrigerator at the beginning of the month.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- Government debt.

► **Capital.**

- The amount of money held by the public.
- Inventory investment.

Question No: 33 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

delta consumption/ delta income =40/50=.8

- 0.2.
- 0.4.
- 0.6.
- **0.8.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

- Real exchange rate.
- The production function.
- Real price level.
- Real interest rate.

Question No: 35 (Marks: 1) - Please choose one

If injections are less than withdrawals at the full-employment level of income then there arises:

- A deflationary gap.
- Hysteresis.
- Hyperinflation.

- ▶ An inflationary gap.

Question No: 36 (Marks: 1) - Please choose one

The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ **The number of people employed plus the number of people unemployed.**
- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 37 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

- ▶ Expansion; inflation.
- ▶ Recession; deflation.
- ▶ Expansion; deflation.
- ▶ Recession; inflation.

Question No: 39 (Marks: 1) - Please choose one

A decrease in the natural rate of unemployment will:

- ▶ Shift the Phillips curve to the left.

- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 40 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ **If there is a decrease in the natural rate of unemployment.**
- ▶ If there is a favorable supply shock.

Question No: 41 (Marks: 1) - Please choose one

If a country has flexible exchange rate and has more rapid inflation rate than other countries, its currency will:

- ▶ Appreciate.
- ▶ **Depreciate.**
- ▶ Not effect.
- ▶ All of the given are possible.

Question No: 42 (Marks: 1) - Please choose one

The nominal exchange rate is defined as the:

- ▶ Market on which currencies of various nations are traded for one another.
- ▶ Price of one unit of foreign good in terms of domestic good.
- ▶ **Price of one unit of foreign currency in terms of domestic currency.**
- ▶ All of the given options.

Question No: 43 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ **Private sector resource deficit + Government budget deficit.**
- ▶ None of the given options.

Question No: 44 (Marks: 1) - Please choose one

In the exogenous growth model, if investment exceeds depreciation, the capital stock will ----- and output will----- until the steady state is attained.

- ▶ **increase; increase.**
- ▶ Increase; decrease.
- ▶ Decrease; decrease.
- ▶ Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one

Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

- ▶ Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
- ▶ Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
- **In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.**
- ▶ All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one

A currency appreciation should:

- ▶ Reduce net exports and therefore increase aggregate demand.
- ▶ Raise net exports and therefore decrease aggregate demand.
- ▶ Reduce net exports and therefore decrease aggregate demand.
- ▶ **Raise net exports and therefore increase aggregate demand.**

Question No: 47 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 48 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ **A fall in the price of imported computers.**
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 50 (Marks: 1) - Please choose one

An example of hysteresis having a negative effect on a country's economy would be:

- ▶ Hyperinflation caused by excessive demand.
- ▶ Nervous investors selling all their shares, causing the stockmarket to crash.
- **Unemployed workers not taking available jobs.**
- ▶ Women being kept out of jobs traditionally held by men.

Question No: 51 (Marks: 5)

Briefly discuss the concept of comparative advantage with the help of example.

Question No: 52 (Marks: 10)

A. Differentiate between Marginal Propensity to Consume (MPC) and Marginal Propensity to Save (MPS).

B. Suppose a household has the consumption function (C) presented in the figure given below:

- a. Find consumption when disposable income is \$8,000 and \$10,000.
- b. Find consumption when disposable income is \$ 6,000. How can a household consume more than its disposable income?
- c. What is true for every point on the 45° line?

(Marks: 4+6)

Question No: 53 (Marks: 10)

Define M0 and M1. Briefly discuss the three broad motives of holding money.

(Marks:4+6)

Question No: 54 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

- a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.
- b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.

Collected By "Anonymous"

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

d) Money supply (M) = 150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

(Marks: 2.5 each)

10th paper

Spring 2009

ECO401- Economics (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ☐ The economic perspective.
- ☐ Marginal analysis.
- ☐ Allocative efficiency.
- ☒ Opportunity cost.

Question No: 2 (Marks: 1) - Please choose one

_____ A
good for which income and quantity demanded are inversely related is known as:

- ☒ Inferior good.
- ☐ Complementary good.
- ☐ Normal good.
- ☐ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

_____ An
increase in supply is shown by:

- ☐ Shifting the supply curve to the left.
- ☒ **Shifting the supply curve to the right.**
- ☐ Upward movement along the supply curve.
- ☐ Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

_____ Price floor results in:

- ☐ All of the given options.
- ☐ Excess supply.
- ☐ Equilibrium.
- ☒ **Excess demand.**

Question No: 5 (Marks: 1) - Please choose one

_____ The
price elasticity of demand measures the responsiveness of quantity demanded to:

- ☐ Quantity demanded.
- ☐ Quantity supplied.
- ☒ **Price.**
- ☐ Output.

Question No: 6 (Marks: 1) - Please choose one

_____ Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

- ☒ -14.

☐ 14.

☐ 83.

☐ 97.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ☐ An increasing marginal rate of substitution.
- ☒ A decreasing marginal rate of substitution.
- ☐ A constant marginal rate of substitution.
- ☐ A marginal rate of substitution that first decreases, then increases.

Question No: 8 (Marks: 1) - Please choose one

_____ To
find the profit maximizing level of output, a firm finds the output level where:

- ☒ Price equals marginal cost.
- ☐ Marginal revenue and average total cost.
- ☐ Price equals marginal revenue.
- ☐ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

_____ As
compared to existing firms, a new firm entering in monopolist market has:

- ☒ High costs.
- ☐ Low costs.
- ☐ Equal costs.
- ☐ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

_____ A
firm is charging a different price for each unit purchased by a consumer. This is called:

- ☐ First-degree price discrimination.
- ☐ Second-degree price discrimination.
- ☒ **Third-degree price discrimination.**
- ☐ None of the given options.

Question No: 11 (Marks: 1) - Please choose one

_____ McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

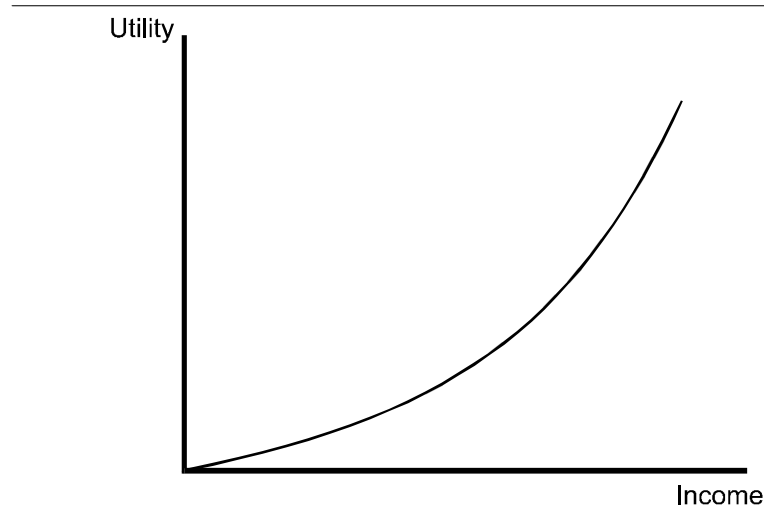
- ☐ Collusion.
- ☐ Price discrimination.
- ☐ Two-part tariff.
- ☒ **Bundling.**

Question No: 12 (Marks: 1) - Please choose one

_____ The
price elasticity of demand for any good must be less than or equal to zero unless:

- ☐ The good is a necessity.
- ☐ The good is a luxury.
- ☒ **The good is a Giffen good.**
- ☐ None of the given options.

Question No: 13 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ☒ Increasing as income increases.
- ☐ Constant for all levels of income.
- ☐ Diminishes as income increases.
- ☐ None of the given options.

Question No: 14 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

- ☐ Products are differentiated.
- ☒ There is freedom of entry and exit into the industry in the long run.
- ☐ The firm is a price maker.
- ☐ There is one main seller.

Question No: 15 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ☐ Positive issues.
- ☒ Normative issues.

☐ Micro issues.

☐ Macro issues.

Question No: 16 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

☐ An increase in output level and a decrease in price.

☐ A decrease in output level and an increase in price.

☒ **A decrease in output level and no change in price.**

☐ Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

☐ Duopoly.

☒ **Cartel.**

☐ Market sharing monopoly.

☐ Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one

In the complete classical model, a rightward shift of the labor supply curve will:

☐ Decrease the price level and increase the nominal wage.

☐ Decrease the nominal wage and increase the price level.

☐ Decrease both the price level and the nominal wage.

☒ **Increase both the price level and the nominal wage.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ☐ An increase in the rate of inflation.
- ☐ A decrease in government expenditures.
- ☐ A decrease in investment spending.
- ☒ **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

_____ The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ☒ **Keynesian.**
- ☐ New classical.
- ☐ Old classical.
- ☐ New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

_____ Keynesian economics was the predominant economic theory:

- ☐ Prior to the late 1700s.
- ☐ From the late 1700s to the early 1900s.
- ☒ **From 1930s to 1970s.**
- ☐ Since 1970s.

Question No: 22 (Marks: 1) - Please choose one

_____ Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ☐ Monetarism.
- ☐ Rational expectations.
- ☒ **Keynesian economics.**
- ☐ Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ☐ Both prices and output to rise.
- ☐ Prices to fall and output to remain unchanged.
- ☐ Both prices and output to fall.
- ☒ **Prices to rise and output to remain unchanged.**

Question No: 24 (Marks: 1) - Please choose one

Intermediate goods are meant for:

- ☐ Direct use by the consumers.
- ☒ **Further processing.**
- ☐ The term do not exist.
- ☐ None of the given options.

Question No: 25 (Marks: 1) - Please choose one

goods are meant for:

- ☒ **Direct use by the consumers.**
- ☐ Further processing.
- ☐ The term do not exist.
- ☐ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ☐ The value of the house in which you live.
- ☒ **The balance in your savings account.**
- ☐ Your monthly consumption on food items.
- ☐ The number of carrots in your refrigerator at the beginning of the month.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ☐ Government debt.
- ☐ Capital.
- ☒ The amount of money held by the public.
- ☐ Inventory investment.

Question No: 28 (Marks: 1) - Please choose one

_____ All
other things remain the same, Gross Domestic Product (GDP) will rise if:

- ☐ Imports rises.
- ☐ Exports falls.
- ☒ Durable goods consumption rises.
- ☐ Military spending falls.

Question No: 29 (Marks: 1) - Please choose one

_____ If
disposable income increases from \$5 trillion to \$6 trillion and as a result, consumption expenditure increases from \$7 trillion to \$7.8 trillion, the Marginal Propensity to Consume is:

- ☐ 1.0.
- ☒ 0.8.
- ☐ $5/7 = 0.71$.
- ☐ $6/7.8 = 0.77$.

Question No: 30 (Marks: 1) - Please choose one

_____ The
slope of the consumption function (or line) is the:

- ☐ Average propensity to save.
- ☐ Average propensity to consume.
- ☐ Marginal propensity to save.

☐ Marginal propensity to consume.

Question No: 31 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

☐ 0.2.

☐ 0.4.

☐ 0.6.

☒ 0.8.

Question No: 32 (Marks: 1) - Please choose one

_____ The unemployment rate is equal to:

☐ Number of employed / labour force x 100.

☒ Number of unemployed / labour force.

☐ (Number of unemployed / labour force) x 100.

☐ None of the given options.

Question No: 33 (Marks: 1) - Please choose one

_____ The traditional Phillips Curve shows the:

☒ Inverse relationship between the rate of inflation and unemployment rate.

☐ Inverse relationship between the nominal and real wage.

☐ Direct relationship between unemployment and demand-pull inflation.

☐ Tradeoff between the short run and long run.

Question No: 34 (Marks: 1) - Please choose one

Deflation is:

☐ An increase in the overall level of economic activity.

- ☐ An increase in the overall price level.
- ☐ A decrease in the overall level of economic activity.
- ☒ **A decrease in the overall price level.**

Question No: 35 (Marks: 1) - Please choose one

_____ Is
Gross Domestic Product (GDP) an accurate measure of a country's well being?

- ☐ Yes, it is the best measure of national well being.
- ☒ **Yes, provided we use real GDP and not nominal GDP.**
- ☐ Uncertain, depending on whether GDP is rising or falling.
- ☐ No, it is not.

Question No: 36 (Marks: 1) - Please choose one

_____ Real
Gross Domestic Product (GDP):

- ☒ **Is nominal GDP adjusted for changes in the price level.**
- ☐ Is also called nominal GDP.
- ☐ Measures GDP minus depreciation of capital.
- ☐ Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

_____ If a
war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ☐ A higher output level than before.
- ☐ The same output level as before.
- ☒ **A lower output level than before.**
- ☐ The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

A

currency appreciation:

- ☒ Reduces aggregate demand and increases aggregate supply.
- ☐ Reduces both aggregate demand and aggregate supply.
- ☐ Increases aggregate demand and reduces aggregate supply.
- ☐ Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1

component of money supply consists of:

- ☐ Paper currency and coins.
- ☒ Paper currency, coins and check writing deposits.
- ☐ Paper currency, coins, check writing deposits and savings deposits.
- ☐ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income:

- ☐ Is income received by individuals during a given year.
- ☐ Is the income individuals have available for spending during a given year.
- ☐ Equals national income minus indirect taxes.
- ☒ Is the sum of wages plus interest received by individuals during a given year.

Question No: 41 (Marks: 1) - Please choose one

Real

Gross National Product (GNP) is best defined as:

- ☐ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ☐ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

☐ The current pound value of all new and used goods produced and sold in the economy during a particular time period.

☒ **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.**

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

☐ Real GDP includes only goods; nominal GDP includes goods and services.

☒ **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**

☐ Real GDP is equal to nominal GDP less the depreciation of the capital stock.

☐ Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

☐ $GNP = GDP - \text{Net income from abroad.}$

☒ **$GNP = GDP + \text{Net income from abroad.}$**

☐ $GNP = NNP - \text{Net income from abroad.}$

☐ $GNP = NNP + \text{Net income from abroad.}$

Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

☐ All transactions in an economy during one-year period.

☐ All goods and services exchanged in an economy during one-year period.

☐ All final goods and services exchanged in an economy during one-year period.

☒ **All final goods and services produced in a domestic economy during one-year period.**

Question No: 45 (Marks: 1) - Please choose one

Which of the following shows the Fisher equation of exchange?

- ☐ MT=PV.
- ☐ VT=PM.
- ☒ MV=PQ.
- ☐ MY=VP.

Question No: 46 (Marks: 1) - Please choose one

_____ An
exchange rate that varies according to the supply and demand for the currency in the foreign
exchange market is called:

- ☐ Overvalued exchange rate.
- ☐ Undervalued exchange rate.
- ☐ Fixed exchange rate.
- ☒ Flexible exchange rate.

Question No: 47 (Marks: 1) - Please choose one

_____ In
the equation $MV = PQ$, according to the crude quantity theory of money:

- ☐ M has no effect on the price level.
- ☒ V is the number of times each dollar is spent per year.
- ☐ Q is the real price level.
- ☐ P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

_____ In
the Keynesian cross model, the 45-degree line has a slope of:

- ☐ 45.
- ☐ Infinity.

☐ 1.

☐ 0.

Question No: 49 (Marks: 1) - Please choose one

_____ In
Keynesian economics, equilibrium can occur:

- ☐ Only at full employment level.
- ☐ Only at levels less than full employment.
- ☐ Only at levels greater than full employment.
- ☒ At any level of aggregate output which is equal to aggregate expenditures.

Question No: 50 (Marks: 1) - Please choose one

_____ After a decrease in the wage, the substitution effect implies that:

- ☐ Only the amount demanded of capital decreases.
- ☐ Only the amount demanded of labor decreases.
- ☒ Only the amount demanded of capital increases.
- ☐ The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

_____ Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

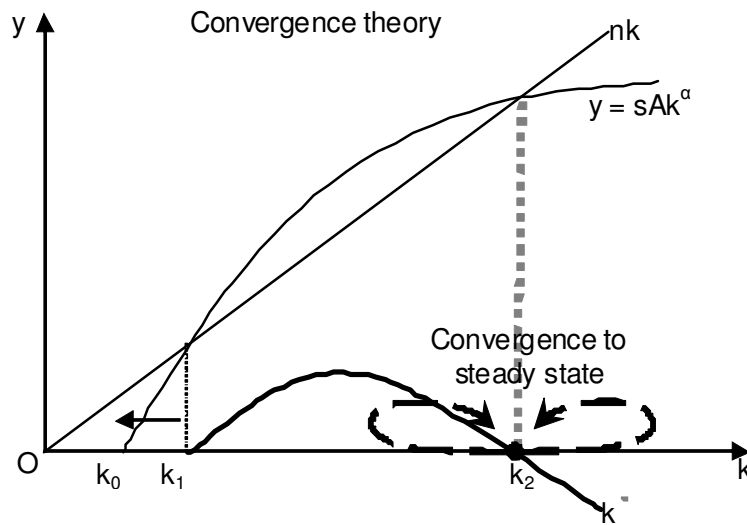
Question No: 52 (Marks: 10)

A. _____
What conclusions are derived from exogenous growth theory?

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.
-

B. What is meant by convergence theory? Explain the convergence theory in the given graph.



(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

Difference between Contractionary and Expansionary Fiscal Policy:

Contractionary Fiscal Policy	Expansionary Fiscal Policy
In contractionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Collected By “Anonymous”

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

These theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor:** decrease in expenditure always badly effects the poor which can then cause political instability.

11th paper

Fall 2009

ECO401- Economics (Session - 5)

Ref No: 1148947

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If

the quantity supplied of oranges exceeds the quantity demanded then:

- ▶ There is a shortage of oranges.
- **Market forces will cause the price to fall.**
- ▶ Market forces will cause the price to rise.
- ▶ The market is in equilibrium.

Question No: 2 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- **A decreasing marginal rate of substitution.**
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 3 (Marks: 1) - Please choose one

Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $\frac{1}{4}$ then to maximize total utility, a consumer should:

- ▶ Buy more pizzas and fewer jeans.
- **Buy fewer pizzas and more jeans.**
- ▶ Continue to buy the same quantities of pizza and jeans.
- ▶ Spend more time consuming pizza.

Question No: 4 (Marks: 1) - Please choose one

As

long as all prices remain constant, an increase in money income results in:

- **An increase in the slope of the budget line.**
- ▶ A decrease in the slope of the budget line.
- ▶ An increase in the intercept of the budget line.
- ▶ A decrease in the intercept of the budget line.

Question No: 5 (Marks: 1) - Please choose one

Ali

initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ▶ Economies of scale.
- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ **increasing returns to the labor inputs.**

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

The

supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ **Its marginal cost curve above the minimum point of the average variable cost curve.**

- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 8 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.

➤ **Any of the given are possible.**

Question No: 9 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 10 (Marks: 1) - Please choose one

The

long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production(such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 11 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.

- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

- **Direct use by the consumers.**
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

slope of the saving function (or line) is the:

The

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ **Marginal propensity to save.**
- ▶ Marginal propensity to consume.

Question No: 14 (Marks: 1) - Please choose one

investment demand curve shows the relationship between the levels of:

The

- ▶ Investment and consumption.
- ▶ Consumption and interest rate.
- ▶ **Investment and interest rate.**
- ▶ Investment and saving.

Question No: 15 (Marks: 1) - Please choose one

circular flow principle guarantees that in equilibrium:

The

- ▶ The level of investment spending will be equal to the level of private savings.
- ▶ The level of exports will be equal to the level of imports.

➤ **The level of aggregate demand will be equal to real Gross Domestic Product.**

▶ The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

The

real interest rate will increase:

▶ If there is an excess supply of loanable funds in the financial markets.

▶ **If there is an excess demand for loanable funds in financial markets.**

▶ If there is an excess supply of loanable funds in the foreign exchange markets.

▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 17 (Marks: 1) - Please choose one

The

trend of unemployment over the last forty years is:

▶ A decrease in unemployment.

▶ It has remained largely unchanged.

➤ **An increase in unemployment.**

▶ It is too difficult to tell so don't bother.

Question No: 18 (Marks: 1) - Please choose one

The

Phillips curve will shift to the right:

▶ If there is a decrease in the expected inflation rate.

▶ If there is an increase in the expected inflation rate.

▶ If there is a decrease in the natural rate of unemployment.

➤ **If there is a favorable supply shock.**

Question No: 19 (Marks: 1) - Please choose one

Current account deficit is equal to:

▶ Private sector resource deficit.

▶ Government budget deficit.

- ▶ **Private sector resource deficit + Government budget deficit.**
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.
- **Expenditure and tax revenue.**
- ▶ Increase in unemployment.

Question No: 21 (Marks: 1) - Please choose one

In

Keynesian economics, an inflationary gap results if:

- ▶ Aggregate expenditures are less than aggregate production.
- **Aggregate expenditures are greater than aggregate production.**
- ▶ Aggregate expenditures are equal to aggregate production.
- ▶ There are no changes in inventories.

Question No: 22 (Marks: 1) - Please choose one

The

accelerator is a related concept which formalizes the investment response to:

- **Consumption.**
- ▶ Interest rate.
- ▶ Output.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The

principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.
- **The extent to which any firm can influence the price of the product.**
- ▶ The size of the firms in the market.

- ▶ The annual sales made by the largest firms in the market.

Question No: 24 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

- ▶ The market price is determined (through regulation) by the government.
- ▶ The firm supplies a different good than its rivals.
- ▶ **The firm's output is a small fraction of the entire industry's output.**
- ▶ The short run market price is determined solely by the firm's technology.

Question No: 25 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ **Risk loving.**
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Rational.

Question No: 26 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ **Both prices and output to rise.**
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 27 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

- ▶ Its currency will appreciate.
- ▶ Its currency will depreciate.

- ▶ There will be no effect on its currency.
- **All of the given option can be possible.**

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements best reflects the implication of law of comparative advantage?

- ▶ Trade between two countries is always to the advantage of both.
- **Trade between two countries can be to the advantage of the both even though one may be more productively efficient at producing everything.**
- ▶ Trade between two countries is to the advantage of both if countries import only those goods that they are incapable of producing themselves.
- ▶ Trade between two countries is beneficial to both if the exporter uses less resource than the importer would use to produce the same quantity of goods.

Question No: 29 (Marks: 1) - Please choose one

Firm

A produces and sells cotton to firm B for Rs. 500. Firm B makes yarn out of it and sells to firm C for Rs. 700. Firm C makes cloth and sell to consumers for Rs. 1200. Which figure has to be used for finding the economy's product?

- ▶ Rs. 500 of firm A.
- ▶ Rs. 700 of firm B.
- **Rs. 1200 of firm C.**
- ▶ Total of all three Rs. 2400.

Question No: 30 (Marks: 1) - Please choose one

The

largest contribution in value terms to Pakistan GNP is made by:

- ▶ Construction sector.
- ▶ Organized industries.
- ▶ Unorganized industries.
- **Agricultural sector.**

Question No: 31 (Marks: 1) - Please choose one

National income figures are:

- ▶ Very exact.
- ▶ Practically exact.
- **Only estimates.**
- ▶ Wrong.

Question No: 32 (Marks: 1) - Please choose one

A

marginal propensity to consume (MPC) of 0.95 indicates that:

- ▶ ΔC to ΔY_d is 0.95.
- ▶ **C/Y_d is 0.95.**
- ▶ ΔY_d to ΔC is 0.95.
- ▶ Y_d/C is 0.95.

Question No: 33 (Marks: 1) - Please choose one

Which of the following describes the four sources of aggregate demand?

- ▶ Consumption, private investment, taxes, and expenditures.
- ▶ Consumption, private investment, wage increases, and government expenditures.
- ▶ Consumption, private investment, expenditures, and net exports.
- **Consumption private investment, government purchases and net exports.**

Question No: 34 (Marks: 1) - Please choose on

Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ **\$7,000 billion at a price level of 1.08.**
- ▶ All of the given options.

Question No: 35 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

I. Wages.

II. Raw materials costs.

III. Government spending.

IV. Government regulations that increase the cost of doing business.

▶ I, II, III, and IV.

▶ I and III only.

▶ I, III, and IV.

➤ **Only III**

Question No: 36 (Marks: 1) - Please choose one

The

short run in macroeconomic analysis is a period:

▶ In which wages and some other prices do not respond to changes in economic conditions.

➤ **In which full wage and price flexibility and market adjustment have been achieved.**

▶ Of less than 12 months.

▶ In which all macroeconomic variables are fixed.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is TRUE?

▶ **$1 - MPS = MPC$**

▶ $1 + MPS = MPC$

▶ $1 / MPS = MPC$

▶ $1 \times MPS = MPC$

Question No: 38 (Marks: 1) - Please choose one

Refer to the above figure, when disposable personal income is \$1,200 billion, consumption is:

- ▶ \$600 billion.
- ▶ \$800 billion.
- ▶ \$1,200 billion.
- ▶ **\$2,200 billion.**

Question No: 39 (Marks: 1) - Please choose one

Unemployment generally ----- when the "real" GDP grows rapidly.

- ▶ Remains the same.
- ▶ Decreases.
- ▶ **increases.**
- ▶ All of the above are possible.

Question No: 40 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

- **Consumer testes for domestic and foreign goods.**
- ▶ Prices of goods at home and abroad.
- ▶ Costs of transporting goods from country to country.
- ▶ All of the given options.

Question No: 41 (Marks: 1) - Please choose one

Free

trade is favoured because:

- ▶ Countries have less work to do.
- ▶ It leads to greater world efficiency i.e. resources are better utilized.
- **Wealthier countries gain an advantage over underdeveloped countries.**
- ▶ All countries gain from tariff imposition.

Question No: 42 (Marks: 1) - Please choose one

Devaluation is done to:

- ▶ **Encourage exports.**

- ▶ Discourage exports.
- ▶ Encourage imports.
- ▶ Encourage inflation.

Question No: 43 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

- ▶ It will result in a movement up along the aggregate demand curve.
- ▶ It will reduce aggregate supply.
- ▶ **It will reduce aggregate demand.**
- ▶ It will not change aggregate demand or aggregate supply in the domestic economy.

Question No: 44 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
 - II. Cash in your hand.
 - III. Checking deposits.
- ▶ I and III.
 - ▶ II and III.
 - ▶ **I only.**
 - ▶ II only.

Question No: 45 (Marks: 1) - Please choose one

Which of the following is (are) primary function (s) of a central bank?

- IV. Act as a regulator of banks.
 - V. Issue government bonds.
 - VI. Set monetary policy.
- ▶ **I only.**

- ▶ I and III.
- ▶ I and II.
- ▶ **I, II and III.**

Question No: 46 (Marks: 1) - Please choose one

What will be the impact of an increase of \$1 in government purchases?

- ▶ It will shift the expenditure line upward by \$1.
- ▶ It will shift the IS curve to the right by $\$1 / (1 - MPC)$.
- ▶ It will not shift the LM curve.
- **All of the given options.**

Question No: 47 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ **Developing countries.**
- ▶ High income countries.

Question No: 48 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

- **Higher rates of population growth.**
- ▶ Greater government control.
- ▶ A larger share of income used for investment.
- ▶ A smaller proportion of the labor force in agriculture.

Question No: 49 (Marks: 1) - Please choose one

Refer to the above figure, when disposable personal income is \$2,000 billion:

- ▶ Personal saving is \$1,200 billion.
- ▶ Consumption is \$1,600 billion.

▶ saving is \$800 billion.

▶ Consumption is \$800 billion.

Question No: 50 (Marks: 1) - Please choose one

How

many points you need to know to calculate the price elasticity of demand on the same demand curve?

▶ One.

▶ Two.

➤ **Three**

▶ Four.

Question No: 51 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

▶ It means that some resources are always unemployed.

➤ **It means that an economy can produce more of one thing only by producing less of something else.**

▶ It means that opportunity costs are constant.

▶ It means that business can sell more when prices are low.

Question No: 52 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

▶ There will be a surplus to accumulate.

▶ **There will be downward pressure on the current market price.**

▶ There will be upward pressure on the current market price.

▶ There will be lower production during the next time period.

Question No: 53 (Marks: 1) - Please choose one

For

which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

- ▶ For an inferior good.
- **A substitute good.**
- ▶ For an independent good.
- ▶ For a normal good.

Question No: 54 (Marks: 1) - Please choose one

Which of the following is TRUE about the marginal product of labour in any production process?

- ▶ It is total output divided by total labour inputs.
- ▶ It is total output minus the total capital stock.
- ▶ It is the change in total output resulting from a 'small' change on the labour input.
- ▶ **It is total output produce by labor inputs.**

Question No: 55 (Marks: 3)

What

are the different components of aggregate demand? Discuss briefly.

Aggregate demand is the total demand for final goods and services in the economy at a given time and price level. It is the amount of goods and services in the economy that will be purchased at all possible price levels. There are four components of aggregate demand which are most important:

1. Consumption:

Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time.

2. Investment: Investment (I) or gross capital formation is any economic activity that forgoes consumption today with an eye to increase output in future.

3. Net Exports: It is net demand from rest of world for country's output.

4. Government Spending: These are gross investments and consumption expenditure done by government.

Question No: 56 (Marks: 5)

Explain the difference between Gross National Product (GNP) and Net National Product (NNP) with the help of their formulas.

Difference between GNP and NNP:

- GNP is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country.

GNP = GDP + net factor income from abroad

- NNP is same application as NDP (National Domestic Product) which equal to GDP minus depreciation. Here, deprecation is amount which spends on capital goods that measure GNP. In other words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers.

Question No: 57 (Marks: 5)

Some economists suggest “growth through resource transfer” and “growth through stabilization and reforms” strategies to tackle the problem of poverty of under developed countries. What is the basic theme of both these strategies? Discuss.

Growth trough resource transfer:

The businesses core resources transfer strategies are having close effect on customer satisfaction, production performance, and personnel expertise of the non-financial performance of business performances; but, these strategies show minor influences on the variance breadth of costs, sales performance, and development performance of business performances. For the growth of it, larger effect exists on the transfer of expertise, organizational learning, reputation and innovation of core resources. However, this strategy shows minor effect on the transfer of brand, management skills, interpersonal relationship, and management.

Growth through stabilization and reforms:

A stabilization strategy centers on addressing people's basic needs and opportunities at the local level by improving their access to basic services, by expanding economic opportunities and by promoting political/civic empowerment. Livelihood, for the purposes of this strategy, is defined as the combination of factors in a community that have a direct impact on the quality of individuals' lives. Those factors include the elements in a community that affect citizen well-being, prosperity, and future choices, such as income, health, education, security, water, small infrastructure and citizen participation.

Question No: 58 (Marks: 10)

Following are the items of balance sheet of bank A

Loans = 80

Deposits = 100

Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

Collected By “Anonymous”

(B) Following are the items of balance sheet of bank A

Loans = 60

Deposits = 110

Reserves = 50

Firm A deposits Rs. 50 in bank A. Prepare the balance sheet in proper form and find out total assets and total liabilities after the deposits of firm A.

(Marks: 5+5)

Question No: 59 (Marks: 10

(A)

The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests? (Marks: 5+5)

12th paper

Fall 2009

ECO401- Economics (Session - 6)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If

the quantity demanded of a product is greater than the quantity supplied of a product, then:

- There is a shortage of the product.
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.

- ▶ The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

The

cross price elasticity of demand for complementary goods is:

- ▶ Less than 0.
- ▶ Equal to 0.
- ▶ Greater than 0.
- **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ▶ Increase hours of work.
- ▶ **decrease hours of work.**
- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale: constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

An

isoquant curve shows:

➤ **All the alternative combination of two inputs that yield the same maximum total product.**

▶ All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

▶ All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

▶ None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

▶ Marginal costs and variable costs.

▶ **Fixed costs and variable costs.**

▶ Fixed costs and marginal costs.

▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A

firm is charging a different price for each unit purchased by a consumer. This is called:

▶ First-degree price discrimination.

▶ **second-degree price discrimination.**

▶ Third-degree price discrimination.

▶ None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

▶ A higher price reduces demand.

▶ A lower price reduces demand.

➤ **A higher price reduces quantity demanded.**

▶ A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

If a

sales tax on beer leads to reduced tax revenue, this means:

▶ Elasticity of demand is < 1 .

▶ **Elasticity of demand is > 1 .**

▶ Demand is upward-sloping.

▶ Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For

a firm buying labor competitively, the marginal input cost is equal to the:

➤ **Wage.**

▶ Interest rate.

▶ Price of output.

▶ Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The

classical economists thought that the economy would quickly overcome any short run instability because:

▶ Price level and quantity are flexible.

▶ Prices would get stuck at a low level.

▶ The long run aggregate supply would shift to the left.

➤ **Price and wages are flexible.**

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

➤ **Direct use by the consumers.**

▶ Further processing.

- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The

average propensity to consume is the ratio of:

- ▶ **A change in consumption to a change in disposable income.**
- ▶ A change in consumption to total disposable income at a specific income level.
- ▶ Total consumption to total disposable income at a specific income level.
- ▶ Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The

slope of the saving function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ **Marginal propensity to save.**
- ▶ Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The

government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

- ▶ Structural Unemployment.
- ▶ Regional Unemployment.
- ▶ **Frictional unemployment**
- ▶ Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

- ▶ **An increase in costs of production.**
- ▶ An increase in productive capacity.

- ▶ An increase in the level of direct taxation.
- ▶ An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

How

should fiscal policy be used during inflation?

- ▶ Increase Government expenditure and decrease taxes to decrease aggregate demand.
- ▶ Increase Government expenditure and decrease taxes to increase aggregate demand.
- ▶ Decrease Government expenditure and increase taxes to increase aggregate demand.
- ▶ **Decrease Government expenditure and increase taxes to decrease aggregate demand.**

Question No: 19 (Marks: 1) - Please choose one

If

the demand curve for a good is downward sloping, then the good:

- ▶ Must be inferior.
- ▶ Must be giffen.
- ▶ Can be normal or inferior.
- **Must be normal.**

Question No: 20 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE according to classical economists?

▶ **Aggregate demand curve is downward sloping and the aggregate supply curve is upward vertical.**

- ▶ Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.
- ▶ Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.
- ▶ Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 22 (Marks: 1) - Please choose one

Why

calculations of Gross Domestic Product (GDP) count only final goods and services?

- ▶ Because it is difficult to measure the prices of intermediate goods produced.
- ▶ Because these are the only goods and services that are purchased in an economy.
- **Because counting all goods services would lead to double-counting of many activities.**
- ▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 23 (Marks: 1) - Please choose one

----- plays an important role in making sure that the economy reaches and stays at equilibrium at the potential output level.

- ▶ Real exchange rate.
- ▶ The production function.
- ▶ Real price level.
- **Real interest rate.**

Question No: 24 (Marks: 1) - Please choose one

Why

a \$1 increase in government spending will have a larger impact upon national income than a \$1 tax cut?

- ▶ Because the government prints the currency it spends.
- **Because not all the tax cut is spent.**
- ▶ Because when taxes are cut, government spending is also cut.
- ▶ Because taxes are an injection into the system.

Question No: 25 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- **State bank of Pakistan.**
- ▶ National bank of Pakistan.
- ▶ Finance minister of Pakistan.
- ▶ World bank.

Question No: 26 (Marks: 1) - Please choose one

Trade can be beneficial in which of the following situations?

- ▶ Two countries produce the same goods at the same costs.
- **Two countries produce the different goods at the different costs.**
- ▶ Two countries are isolated.
- ▶ Two countries have the same markets.

Question No: 27 (Marks: 1) - Please choose one

Firm

A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- **1000+500+2500 = Rs. 5000**
- ▶ 1000+500+2500 = Rs. 4000
- ▶ 1000+500+1000 = Rs. 2500

► $1000+1500+1000 = \text{Rs. } 3500$

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines "subsidies"?

- Payment by Government for purchase of goods and services.
- Payment by business enterprises to factors of production.
- Payment by companies to share holders.
- **Payment by government to business enterprises without buying any goods and services.**

Question No: 29 (Marks: 1) - Please choose one

National product at market prices incorporate:

- **Prices which buyers actually pay.**
- Payments made to the factor owners.
- Costs incurred in producing goods and services.
- Costs minus subsidies.

Question No: 30 (Marks: 1) - Please choose one

A

marginal propensity to consume (MPC) of 0.95 indicates that:

- **ΔC to ΔY_d is 0.95.**
- C / Y_d is 0.95.
- ΔY_d to ΔC is 0.95.
- Y_d / C is 0.95.

Question No: 31 (Marks: 1) - Please choose one

When MPC is 0.80 and APC is 0.95 then MPS is:

- **0.20 and APS is 0.05.**
- 0.05 and APS is 0.20.

- ▶ 0.20 and APS is 0.20.
- ▶ 0.05 and APS is 0.05.

Question No: 32 (Marks: 1) - Please choose one

Which of the following are leakages from the circular flow?

- ▶ Consumption and saving.
- ▶ **savings and Imports**
- ▶ Imports and exports.
- ▶ Exports and savings.

Question No: 33 (Marks: 1) - Please choose one

The time that a laborer uses for relaxation and all activities other than work or necessary sleep is known as:

- ▶ Free time.
- ▶ **leisure**
- ▶ Time not used for earning.
- ▶ All of the given options.

Question No: 34 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- **The income effect of higher income dominates the substitution effect of higher wages.**
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

The government supports research in basic science because:

- ▶ It is a public good.
- ▶ External costs are created.

➤ **Internal benefits are created.**

▶ Free markets would do so otherwise.

Question No: 36 (Marks: 1) - Please choose one

In

classical theory, excess supply of a product would be associated with:

▶ Rising interest rates.

▶ Falling interest rates.

➤ **Rising price of the product.**

▶ Falling price for the product.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT a determinant of net exports?

▶ Domestic and foreign incomes.

▶ Relative price levels.

▶ Domestic and foreign trade policies.

➤ **Producer's expectations about future prices.**

Question No: 38 (Marks: 1) - Please choose one

A

trade surplus occurs when:

▶ A country's firms open more stores abroad than foreign firms open in the country.

➤ **A country sells more abroad than it purchases from abroad.**

▶ Foreign firms open more stores in a country than the country opens in foreign countries.

▶ A country purchases more from abroad than other countries purchase from it.

Question No: 39 (Marks: 1) - Please choose one

A change from \$1.00 = Rs. 80.00 to \$1.00 = Rs. 85.00 represents:

▶ Depreciation of the dollar.

▶ An appreciation of the dollar.

▶ An appreciation of the rupee.

- **None of the given options.**

Question No: 40 (Marks: 1) - Please choose one

There is an increase in the economy's potential output when there is:

- ▶ An increase in government spending.
- ▶ A decrease in government spending.
- ▶ An increase in the economy's depreciation rate.
- ▶ **An increase in the economy's capital stock..**

Question No: 41 (Marks: 1) - Please choose one

One

of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 42 (Marks: 1) - Please choose one

The

rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- **High birth rate and low death rate.**
- ▶ Higher standard of living.

Question No: 43 (Marks: 1) - Please choose one

The

principle of taxation which emphasizes on fairness or just sacrifice is known as:

- ▶ Efficiency.
- **Equity.**
- ▶ Progressive tax.

- ▶ Regressive tax.

Question No: 44 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- **Laffer curve.**
- ▶ Demand curve.
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 45 (Marks: 1) - Please choose one

The optimum tax rate in which government revenue is maximized lies somewhere between:

- ▶ 0% and 1%.
- **0% and 50%.**
- ▶ 50% and 100%.
- ▶ 0% and 100%.

Question No: 46 (Marks: 1) - Please choose one

Money is defined as an item that:

- **Serves as a medium of exchange for goods and services.**
- ▶ Can be converted into silver with relatively little loss in value.
- ▶ Can be converted into gold with relatively little loss in value.
- ▶ Facilitates a connecting link between credit instruments and debt instruments.

Question No: 47 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

- ▶ Quota.
- **Tariff.**
- ▶ Non-tariff barrier.
- ▶ Trade embargo.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ▶ Higher per capita income.
- **Vicious circle of poverty.**
- ▶ High level of investment.
- ▶ High rates of savings.

Question No: 49 (Marks: 1) - Please choose one

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

- ▶ It can be used if and only if individuals are not risk-loving.
- ▶ It can be used if and only if individuals are risk averse.
- ▶ It can be used if and only if individuals are risk neutral.
- **It can be used no matter what a person's preference to risk.**

Question No: 50 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be?

- ▶ Positive, negative.
- ▶ Negative, normative.
- ▶ Normative, positive.
- ▶ **Positive, normative.**

Question No: 51 (Marks: 1) - Please choose one

What will happen to the demand for product X, if there is an increase in consumer's income?

- ▶ It will necessarily remain unchanged.
- ▶ It will shift to the right if X is a complementary good.
- ▶ **It will shift to the right if X is an normal good.**

- It will shift to the right if X is an inferior good.

Question No: 52 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

- **Output is being produced at minimum cost.**
- Output is not being produced at minimum cost.
- The two products are being produced at the medium input cost to the firm.
- The two products are being produced at the highest input cost to the firm.

Question No: 53 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- **Decreasing returns to scale.**
- Constant returns to scale.
- Increasing returns to scale.
- None of the given options.

Question No: 54 (Marks: 1) - Please choose one

In

which of the following conditions, a firm will never operate?

- At the minimum of its average total cost curve.
- **At the minimum of its average variable cost curve.**
- On the downward-sloping portion of its average total cost curve.
- On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How

the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

- A. Differentiate between final goods and intermediate goods with the help of examples.
- B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

- a) Calculate the average growth rate from 1982 and 1985.
- b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

<u>Year</u>	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

- a) What is interest parity condition?
- b) When does this condition hold?

- c) What is the equation of this condition?
d) What will happen if the equality of the condition does not hold?

(Marks: 2+2+2+4)

13th paper

FINAL TERM EXAMINATION

Fall 2008

ECO401- Economics (Session - 3)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

_____ To
calculate the price elasticity of demand, you need to know _____ point(s) on the
_____ demand curve.

- ▶ One, same.
- ▶ Two, same.
- ▶ One, opposite.
- ▶ **Two, opposite.**

Question No: 2 (Marks: 1) - Please choose one

_____ Governments protect domestic industries from foreign competition by _____.

- ▶ **Encouraging agreements like NAFTA.**
- ▶ Using tariff and non tariff barriers.
- ▶ Discouraging union membership.
- ▶ Keeping the minimum wage low.

Question No: 3 (Marks: 1) - Please choose one

_____ To
make the equation of exchange in the quantity theory of money:

- ▶ V and Q are assumed to be constant.
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ **M and P are considered constant.**

Question No: 4 (Marks: 1) - Please choose one

In the equation $MV = PQ$, according to the crude quantity theory of money:

- ▶ M has no effect on the price level.
- ▶ **V is the number of times each dollar is spent per year.**
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 5 (Marks: 1) - Please choose one

_____ What would result from a depreciation of the pound on the foreign exchange market?

- ▶ **An increase in the price of imported computers.**
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ A fall in the price of imported computers.
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 6 (Marks: 1) - Please choose one

_____ Disposable income is:

- ▶ Total income plus transfer payments.
- ▶ Total income minus saving.
- ▶ Total income plus net taxes.
- ▶ **Total income minus net taxes.**

Question No: 7 (Marks: 1) - Please choose one

How should monetary policy be used during recessions?

- ▶ Decrease money supply to increase interest rate and increase aggregate demand.
- ▶ Increase money supply to increase interest rate and increase aggregate demand.
- ▶ **Decrease money supply to decrease interest rate and increase aggregate demand.**
- ▶ Increase money supply to decrease interest rate and increase aggregate demand.

Question No: 8 (Marks: 1) - Please choose one

Which of the following policy options would simultaneously increase interest rates and decrease output?

- ▶ **The central bank sells bonds through open market operations.**
- ▶ The federal government increases its defense purchases.
- ▶ The central bank expands the money supply.
- ▶ The federal government increases the tax rate.

Question No: 9 (Marks: 1) - Please choose one

increase in the money supply will cause interest rates to:

An

- ▶ **Rise.**
- ▶ Fall.
- ▶ Remain unchanged.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.

- ▶ World bank.

Question No: 11 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ **Expenditure and tax revenue.**
- ▶ Increase in unemployment.
- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.

Question No: 12 (Marks: 1) - Please choose one

_____ **An**
expansionary fiscal policy can:

- ▶ Raise the national debt.
- ▶ **Decrease the national debt.**
- ▶ Have no effect on national debt.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

_____ **If a**
war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.
- ▶ **The Golden Rule output level.**

Question No: 14 (Marks: 1) - Please choose one

_____ **If**
the prices of all goods and services rise during the year:

- ▶ Real GDP may fall.
- ▶ Nominal GDP must fall.

► Nominal GDP may increase.

► **Real GDP must rise.**

Question No: 15 (Marks: 1) - Please choose one

_____ Is
Gross Domestic Product (GDP) an accurate measure of a country's well being?

► Yes, it is the best measure of national well being.

► Yes, provided we use real GDP and not nominal GDP.

► **Uncertain, depending on whether GDP is rising or falling.**

► No, it is not.

Question No: 16 (Marks: 1) - Please choose one

_____ Economic activity moves from a trough into a period of ----- until it reaches a -----
and then into a period of -----.

► Expansion; trough; recession

► Recession; trough; expansion

► **Expansion; peak; recession**

► Recession; peak; expansion

Question No: 17 (Marks: 1) - Please choose one

_____ The
Phillips curve will shift to the right:

► If there is a decrease in the expected inflation rate.

► If there is an increase in the expected inflation rate.

► If there is a decrease in the natural rate of unemployment.

► **If there is a favorable supply shock.**

Question No: 18 (Marks: 1) - Please choose one

_____ A
decrease in the natural rate of unemployment will:

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 19 (Marks: 1) - Please choose one

_____ The
unemployment rate is equal to:

- ▶ Number of employed / labour force x 100.
- ▶ Number of unemployed / labour force.
- ▶ **(Number of unemployed / labour force) x 100.**
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.
- ▶ **0.8.**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ **Capital.**
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ The balance in your savings account.
- ▶ **Your monthly consumption on food items.**
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 23 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP) is measured:

- ▶ At base year prices.
- ▶ At current year prices.
- ▶ At a constant output level but at current prices.
- ▶ **As the difference between the current year's GDP and last year's GDP.**

Question No: 24 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ **Prices to rise and output to remain unchanged.**

Question No: 25 (Marks: 1) - Please choose one

According to classical economics, the economy was unlikely to experience:

- ▶ **Full employment.**
- ▶ Flexible wages and prices.

- ▶ Equality between saving and investment.
- ▶ High rates of unemployment.

Question No: 26 (Marks: 1) - Please choose one

A

primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 27 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ From 1930s to 1970s.
- ▶ **Since 1970s.**

Question No: 28 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ **Wages and prices are sticky in the short run.**

Question No: 29 (Marks: 1) - Please choose one

Which of the following will lead to an increase in aggregate demand?

- ▶ An increase in government tax revenues.
- ▶ An increase in household savings.
- ▶ **An increase in business capital investment.**
- ▶ An increase in demand for imports.

Question No: 30 (Marks: 1) - Please choose one

_____ The
aggregate supply curve is the relationship between:

- ▶ The price level and the real domestic output purchased.
- ▶ **The price level and the real domestic output produced.**
- ▶ The price level which producers are willing to accept and the price level purchasers are willing to pay.
- ▶ The real domestic output purchased and the real domestic output produced.

Question No: 31 (Marks: 1) - Please choose one

_____ The
marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 32 (Marks: 1) - Please choose one

_____ Cartels are:

- ▶ **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.
- ▶ Considered as part of monopolistic competition.

Question No: 33 (Marks: 1) - Please choose one

"The situation in which two or more firms set their prices and output according to a plan agreed upon between them in order to divide the market among themselves". Which of the following best describes this situation?

- ▶ Strategic interaction.
- ▶ Monopolistic competition.
- ▶ Oligopoly.
- ▶ **Collusion.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ Cartel.
- ▶ Market sharing monopoly.
- ▶ **Natural monopoly.**

Question No: 35 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.
- ▶ **A decrease in output level and an increase in price.**
- ▶ A decrease in output level and no change in price.
- ▶ Neither a change in output level nor a change in price.

Question No: 36 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**

► Micro issues.

► Macro issues.

Question No: 37 (Marks: 1) - Please choose one

A

welfare loss occurs in monopoly where:

- The price is greater than the marginal cost.
- The price is greater than the marginal benefit.
- The price is greater than the average revenue.
- **The price is greater than the marginal revenue.**

Question No: 38 (Marks: 1) - Please choose one

In

monopoly, which of the following is NOT true?

- **Products are differentiated.**
- There is freedom of entry and exit into the industry in the long run.
- The firm is a price maker.
- There is one main seller.

Question No: 39 (Marks: 1) - Please choose one

Graphically, the Marginal Cost curve cuts through the Average Total Cost curve at:

- The lowest point on the MC curve.
- The highest point on the MC curve.
- **The lowest point on the ATC curve.**
- The middle of the upward-sloping portion of the total cost curve.

Question No: 40 (Marks: 1) - Please choose one

If

current output is less than the profit-maximizing output then which of the following must be TRUE?

- Total revenue is less than total cost.
- Average revenue is less than average cost.

► **Marginal revenue is less than marginal cost.**

► Marginal revenue is greater than marginal cost.

Question No: 41 (Marks: 1) - Please choose one

A

production function:

► **Relates inputs with output.**

► Generates a curve that is upward sloping.

► Shows diminishing marginal product of an input, since it gets flatter as output rises.

► All of the given options.

Question No: 42 (Marks: 1) - Please choose one

A

normal good can be defined as one which consumers purchase more of as:

► Prices fall.

► Prices rise.

► Incomes fall.

► **Incomes increase.**

Question No: 43 (Marks: 1) - Please choose one

If a

market basket is changed by adding more to at least one of the goods, then every consumer will:

► Rank the market basket more highly after the change.

► Rank the market basket more highly before the change.

► **Rank the market basket just as desirable after the change.**

► Be unable to decide whether he prefers the first market basket to the second or the second to the first.

Question No: 44 (Marks: 1) - Please choose one

The

concept of a risk premium applies to a person that is:

► All of the given options.

- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Risk loving.

Question No: 45 (Marks: 1) - Please choose one

_____ Law
of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ Negative.
- ▶ Positive.

Question No: 46 (Marks: 1) - Please choose one

_____ The
extra value that consumers receive above what they pay for that good is called:

- ▶ Producer surplus.
- ▶ Utility.
- ▶ Marginal utility.
- ▶ Consumer surplus.

Question No: 47 (Marks: 1) - Please choose one

_____ If a
decrease in price increases the total revenue then:

- ▶ Demand is elastic.
- ▶ Demand is inelastic.
- ▶ Supply is elastic.
- ▶ Supply is inelastic.

Question No: 48 (Marks: 1) - Please choose one

_____ The
concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ Increasing opportunity cost for both goods.

- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 49 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

- ▶ **An increasingly steep negative slope.**
- ▶ A decreasingly steep negative slope.
- ▶ An increasingly steep positive slope.
- ▶ A constant and negative slope.

Question No: 50 (Marks: 1) - Please choose one

economy is characterized by:

Our

- ▶ **Unlimited wants and needs.**
- ▶ Unlimited material resources.
- ▶ No energy resources.
- ▶ Abundant productive labor.

Question No: 51 (Marks: 5)

Define foreign exchange markets. Also give some examples of foreign exchange markets.

Foreign exchange markets:

The foreign exchange market is a specific system of a country for a foreign trade and currency exchange. For example, if Pakistan imports a product from USA, Pakistan will buy dollars from rupees, so Pakistan exchanged its currency in foreign market.

Foreign markets depend on imports, exports and currency exchanged process. By these ways two countries exchange their markets.

Question No: 52 (Marks: 10)

What will be the role of government in the foreign exchange market in the following cases?

- a. If the supply curve of dollars shifts to the right due to rise in exports.**
- b.**

if the supply curve of dollars shifts to the right due to rise in exports, the government role in foreign markets will be very good. Because due to rise in exports government will exchange money and they will gain high price against its currency. The government will increase its exports so it raises the price of its currency in foreign exchange.

- c. If the demand curve for dollars shifts to right due to rise in imports.**

If the demand curves for dollars shifts to right due to rise in imports, the government should decrease the imports rate to save the currency from falling its price. Basically rise in imports decreases the price of currency in foreign exchange markets. So government will slow down the imports and will try to increase its own products to complete the necessary requirement of the country. **(Marks:5+5)**

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Fiscal policy:

Fiscal policy is basically a government policy for expenses, imports, exports of goods, benefits from unemployment, interest on debts etc.

Expansionary fiscal policy:

When there is an increase in government spending, there will be more interest rate of bank loan which government has borrowed for spending.

Contractionary fiscal policy:

In this policy the aggregate demand rises due to increase in unemployment rate of country.

Unemployment rise the government expenditures.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

If there is a gradual increase in the saving rate over time, would this lead to sustained economic growth? Give your answer with brief explanation.

Definetly, it will increase economic growth rate. As we save more and more money or goods from spendings. Our economical position becomes good. If we have much more savings we can inverst it in a

good business or production. This savings will produce more goods and and may be more people will be employed in this process. So our counrty will develop gradually. By this way we will be able top increase our growth rate economically.

A. If this is true, why do people not increase their rate of saving?

Some times People are afraid because of decrease in saving rate and from low exchange rate. They don't put their money in banks. And they sometimes don't invest. For a good economical grwoth extra time is required which more people don't want to wait. Sometimes the savings rate from banks is too low.

B. If there is a higher participation rate and GDP per capita rises, would output per worker also rise? Give your answer with brief explanation.

Yes, because when the rate of GDP per capita rises, there will be more and more chances for employment and the life of people will become standard. They will increase the salaries and wages of workers. By this way the workers will be motivated and they will produce more output.

(Marks:4+3+3)